Report on Venezuela Custody Account Operations

January – September 2026

October 29, 2026

Prepared by KPMG LLP in support of the U.S. Department of State

Authorized for Public Release by the U.S. Department of State

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1. Executive Overview

1.1 Introduction

This report provides a comprehensive account of the Venezuelan natural resource revenues deposited in, held by, and disbursed from the U.S. Treasury Venezuela Custody Account (also referred to as the Venezuela Custody Account), a deposit fund account established consistent with Executive Order (E.O.) 14373, "Safeguarding Venezuelan Oil Revenue for the Good of the American and Venezuelan People."[1] It documents the financial oversight, governance, and control mechanisms implemented by the U.S. Department of State (DoS) and its contracted monitor and advisor, KPMG, to promote transparency and accountability in the management of these funds.

The Venezuela Financial Transparency Program reviews deposit receipts, fund administration, compliance activities, and disbursement processes associated with the Venezuela Custody Account. This report provides visibility into how funds are deposited, monitored, managed, and disbursed in accordance with established authorization, compliance, and governance protocols to support approved macroeconomic, public-sector, humanitarian, and operational purposes. Not all these processes and the safeguards described below have been in place since January 2026; the process has been iterative and DoS and KPMG have adjusted, refined, and added to these processes over time. All funds and natural resource proceeds administered under this program constitute sovereign assets of the Bolivarian Republic of Venezuela, held and managed exclusively for the benefit of the Venezuelan people.

This report covers January 3, 2026, to September 30, 2026, and may be updated to reflect future data and enhanced monitoring capabilities, including centralized data repositories, automated reconciliation, and advanced analytics. Any subsequent report will integrate newly available transaction-level records, risk assessments, and compliance findings as these data governance and modernization initiatives mature.

For analytical clarity, the report progresses from strategic and financial review to operational oversight and compliance activities. The sections that follow include a financial summary (traceability), review of the Venezuela Custody Account transaction activity, vetting and forensic reviews, institutional oversight and governance descriptions, and a forward outlook. Together, these sections provide an integrated view of the controls, monitoring activities, and governance processes supporting the administration of funds within the Venezuela Custody Account framework.

During the first nine months of operation, the U.S. Government established custodial control over Venezuelan natural resource revenue deposits, implemented multi-layered authorization and compliance controls, and monitored the distribution of funds through approved economic and public-sector channels. More than $12 billion was deposited and disbursed under a controlled governance structure designed to promote transparency, accountability, and protection of sovereign assets.[2]

1.2 Key Takeaways

- The Venezuela Custody Account has centralized management of Venezuelan natural resource deposits subject to relevant Office of Foreign Assets Control (OFAC) licenses.

- In accordance with requests from the interim Government of Venezuela and consistent with approved expenditure parameters, the DoS and U.S. Treasury have reviewed and executed disbursements of $12.11 billion through authorized Foreign Exchange (FX) and Vendor Payment Mechanisms while maintaining robust approval, monitoring, and reporting controls.
- These disbursements are managed through an advanced financial monitoring program, which includes transaction reviews, control assessments, stakeholder outreach, recipient testing, counterparty verification, on-site diligence, and ongoing validation procedures.
- The oversight and review provided by the DoS, U.S. Treasury, and KPMG are in addition to compliance controls in place at Venezuelan commercial banks, U.S. correspondent banks, and other financial institutions, as well as U.S. and Venezuelan financial regulatory and oversight bodies.
- Authorized transactions are subject to multiple layers of compliance and control, including sanctions screening to mitigate the risk of inadvertently providing support or resources to foreign terrorist organizations or their members, Anti-Money Laundering (AML) and Know Your Customer (KYC) reviews, transaction monitoring, and verification procedures performed by participating commercial banks, financial institutions, and other service providers involved in the payment lifecycle.
- To supplement these controls, the DoS and KPMG address risks identified through the monitoring program by implementing appropriate mitigation measures, conducting additional validation and due diligence procedures, and strengthening oversight controls to support compliant, transparent, and accountable fund disbursements.

2. Program Framework and Operating Environment

2.1 Background

On January 9, 2026, President Donald J. Trump issued E.O. 14373, pursuant to authorities including the International Emergency Economic Powers Act and the National Emergencies Act.[3] The Order established protections governing specified Venezuelan government revenues held by the United States, defined as "Foreign Government Deposit Funds" (FGDF), which include funds derived from commodity-sale proceeds of Venezuelan natural resources from the Government of Venezuela or its agencies or instrumentalities. Under the Order, covered funds are held by the U.S. Treasury in a designated Venezuela Custody Account. The funds remain sovereign property of Venezuela and are protected from attachment or other judicial process and may not be transferred, withdrawn, or otherwise dealt in except as authorized. The funds are held pending disposition for public, governmental, or diplomatic purposes as determined by the Secretary of State, with the Secretary of the Treasury responsible for their administration and for executing authorized disbursements or transfers.[4]

Operating Environment & Challenges. Venezuela's vast natural resources, particularly its oil reserves, have historically served as the primary engine of the nation's economy and principal source of U.S. Dollar (USD) income. Over time, sanctions, international legal disputes, governance challenges, and financial-control deficiencies significantly constrained traditional fund flows and Venezuela's access to international financial markets. These conditions increased risks related to the receipt, management, and distribution of resource-derived funds, creating the need for enhanced oversight mechanisms to increase transparency, preserve economic continuity, safeguard critical revenue streams, and support the delivery of essential public services.

Program Rationale & Controlled Structure. Certain OFAC licenses (e.g., General Licenses 46E, 48D, 50C, 51D, 52C, and 54C) direct firms to deposit payments to the Government of Venezuela, or its agencies or instrumentalities, made in exchange for authorized activities involving Venezuela-origin natural resources in the Venezuela Custody Account. The Venezuela Custody Account mechanism serves as a controlled deposit management structure under which payments from authorized activities involving Venezuelan natural resources are used for authorized macroeconomic, public-sector, humanitarian, and operational purposes. Like escrow, trust, and other controlled holding-account arrangements used in financial oversight environments, this approach provides heightened transparency into the management and release of funds by allowing for transaction monitoring and other compliance controls. Authorized funds are subsequently disbursed from the Venezuela Custody Account to designated transaction accounts, or approved third-party accounts, at the direction of the Banco Central de Venezuela (BCV), following transaction review, approval and authorization procedures. The BCV administers allocations and disbursements to approved downstream entities, including commercial banks, and payments on behalf of government entities and public service organizations. This structure is intended to support macroeconomic stability and the restoration of critical governmental functions and key sectors, including energy, infrastructure, healthcare, and public services, while promoting accountability and stewardship of public resources.

Program Oversight & Governance Controls. To support the accountable administration of public funds, requests for disbursement are subject to a structured authorization and compliance review process administered under DoS protocols supported by KPMG. The BCV, on behalf of the interim Venezuelan government, submits disbursement requests to the DoS detailing the intended use of funds for approved governmental, operational, and public-interest objectives. Through controlled disbursement, transaction monitoring, and defined oversight mechanisms, the program promotes transparency, guards against unauthorized use of funds, strengthens financial controls, and supports restoration of Venezuela's institutional capacity and economic sustainability.

This approach is designed to balance immediate operational continuity and the execution of essential and time-sensitive disbursements with the compliance, transparency, and oversight mechanisms necessary to safeguard sovereign resources and support long-term institutional development.

2.2 Report Scope, Oversight, and Limitations

The legal authorities, implementation milestones, and stakeholder responsibilities described above form the overarching governance structure for the management of Venezuelan natural resource revenues. The structure of day-to-day financial operations includes collection, custody, authorization, disbursement, and monitoring of funds. This report examines those activities by tracing the flow of funds through each stage of the operational lifecycle and documenting the controls, processes, and oversight mechanisms established to promote transparency, accountability, and stewardship.

The report draws upon consolidated Venezuela Custody Account records, DoS financial data, and supporting transaction information covering the period from January 2026 through September 2026. The report examines deposit inflows, custody arrangements, foreign exchange interventions, vendor payments, banknote distribution, and related monitoring procedures to provide visibility into program operations,

financial activity, and key fund-flow mechanisms. In addition, the report details the authorization processes, compliance activities, oversight controls, and risk management procedures implemented across the program.

In the interest of maximum transparency, this report provides account, monthly, entity, and transaction-level reporting as of a point-in-time on September 30, 2026. Figures in this report displaying deposit, allocation, authorization, transfer, and disbursement amounts may vary due to the timing of operational processing, settlement, and reporting across the various accounts involved in the process. Despite these timing-related variances, all figures presented in this report reconcile to the underlying transactions and account balances.

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The following sections examine the principal components of the fund management process, beginning with the Venezuela Custody Account and progressing through deposit collection, custody, authorization, disbursement, and ongoing monitoring activities. Together, these sections provide an integrated view of how funds move through the program and the controls applied throughout the process.

2.3 Summary

The Venezuela Custody Account serves as the central custody and oversight mechanism for revenues generated from activities related to Venezuelan natural resources. The oversight structure provides transparency into how funds are collected, managed, authorized, safeguarded, and disbursed to advance approved economic and humanitarian objectives.

During the period covered by this report (January 3 – September 30, 2026), the Venezuela Custody Account received deposits totaling more than $12.26 billion from verified and approved entities engaging in authorized activities related to Venezuelan natural resources. While crude oil and petroleum-related deposits represented the largest source of inflows, the account also received approved deposits associated with gold, mineral, and fertilizer transactions. Of the total amount, $12.11 billion (98.7%) was disbursed from the Venezuela Custody Account, while $168.56 million remained in custody as of September 30, 2026, for future authorized disbursements pursuant to requests by the BCV on behalf of the interim Government of Venezuela.

The figure below demonstrates the scale of the framework, the movement of funds through controlled financial channels, and the oversight mechanisms established to promote transparency, accountability, and stewardship of Venezuelan natural resource revenues.

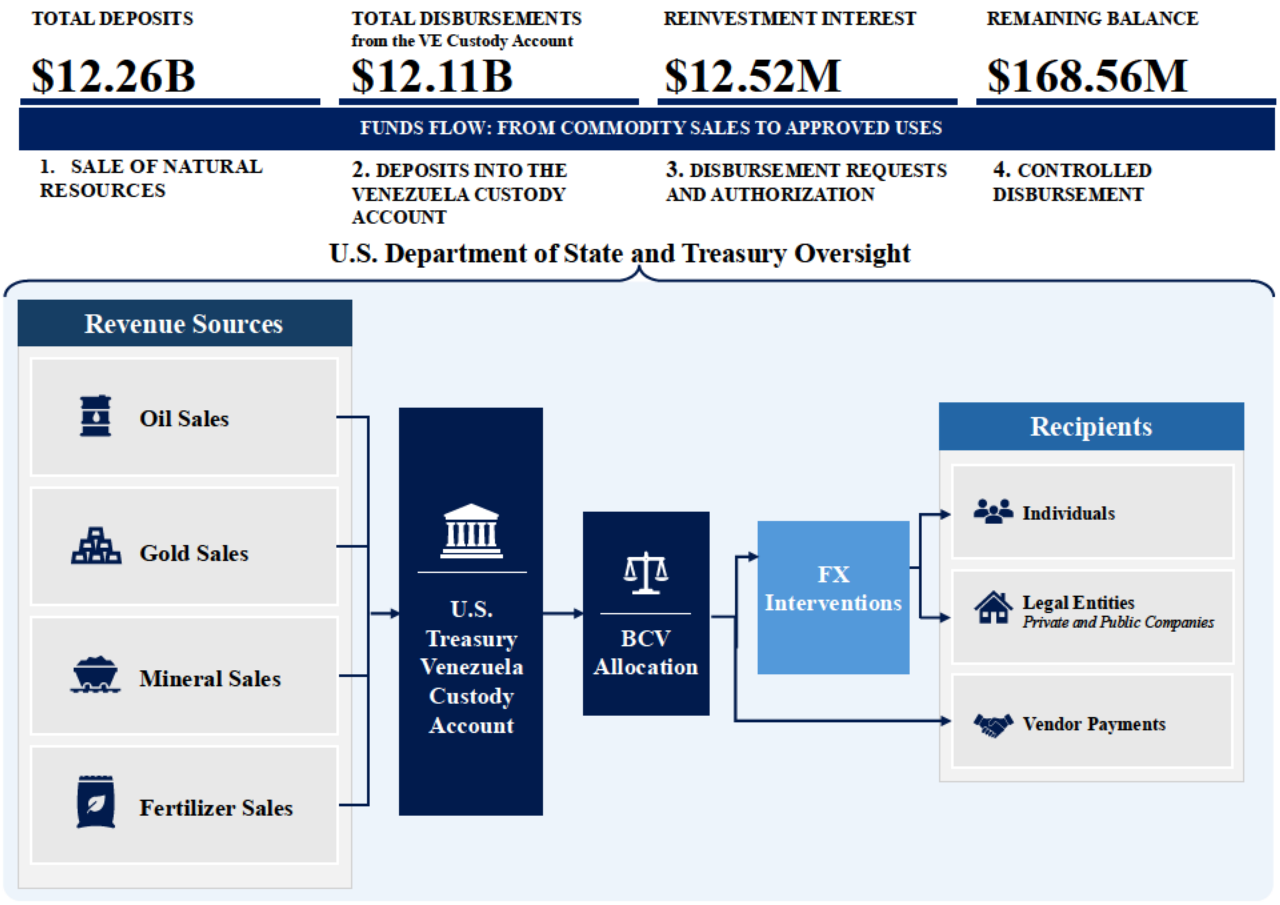


Figure 1: Summary Snapshot of Funds[5]

Note: While all payments are made at the direction and on behalf of the BCV, the actual flow of funds can be directly from the Venezuela Custody Account to approved vendors, under certain circumstances and in conformity with E.O. 14373.

2.4 Stakeholder Roles

The DoS, and KPMG in its advisory role, perform coordinated management of the Venezuela Custody Account activities and synchronize among multiple U.S. and Venezuelan stakeholders responsible for deposits, custody, authorization, transaction execution, oversight, and compliance. To support accountability and transparency, the DoS worked with KPMG to identify distinct roles and authorities and to create a governance structure to promote segregation of duties and third-party oversight throughout the revenue management lifecycle. The table below includes stakeholder roles and their primary responsibility.

STAKEHOLDER	PRIMARY RESPONSIBILITY
Petróleos de Venezuela, S.A. (PDVSA) and other sellers of natural resources	Generates revenues through the sale of Venezuelan oil (by PDVSA) and other authorized natural resources (e.g., by Pequiven for fertilizer and by Carbozulia for coal).
Approved depositors	Engage in the operation, extraction, production, purchase, or marketing of Venezuelan oil or other natural resources, and deposit payments from these activities into the Venezuela Custody Account.
U.S. Treasury	Establishes the sanctions and licensing framework via OFAC and supports financial crime monitoring through the Financial Crimes Enforcement Network (FinCEN). Maintains custody of revenues deposited into the Venezuela Custody Account and executes authorized fund disbursements.
U.S. Department of State (DoS)	Provides policy guidance and administers the Venezuela Custody Account, reviewing and authorizing entities and transactions associated with deposits to and disbursements from the Venezuela Custody Account.
Facilitating banks	Provide banking services to the BCV and support transaction processing associated with the custody and disbursement of funds.
The Banco Central de Venezuela (BCV)	Manages allocation requests, foreign exchange interventions, and disbursement activities on behalf of the interim Government of Venezuela.
Superintendency of Banking Sector Institutions (SUDEBAN)	Serves as the primary regulator and supervisor of Venezuela's banking sector, responsible for overseeing financial institutions and promoting compliance with the regulatory framework governing banking activities in Venezuela.
Corporación Venezolana de Comercio Exterior S.A. (CORPOVEX)	Coordinates procurement activities on behalf of the interim Government of Venezuela and supports the acquisition of approved goods and services.
Venezuelan commercial banks	Implement front-line AML and KYC controls, participate in the foreign exchange intervention process by transferring the Venezuelan bolívars (VES) to the BCV from recipient bank accounts and distributing authorized USD-denominated funds to approved corporate and individual recipients. See the full list of commercial banks in Figure 12.
U.S. correspondent banks	Provide institutional USD clearing and transaction-level compliance screening for respondent institutions. Operating under the legal mandates of the USA PATRIOT Act and OFAC, these banks enforce federal compliance protocols to block, investigate, or settle cross-border transactions before funds are routed to foreign commercial banks.
KPMG LLP	Serves as a technical advisor supporting the DoS with management, monitoring, and transparency of the deposit and disbursement of funds from the sale of Venezuelan natural resources. Performs financial monitoring, counterparty due diligence, and risk assessment services on behalf of the DoS. These services do not constitute audit or attestation services under applicable professional standards.

Figure 2: Stakeholder Roles and Primary Responsibility[6]

The DoS, pursuant to a Memorandum of Understanding with the interim Government of Venezuela and using Venezuelan funds, contracted with KPMG to support its management of Venezuela Custody Account operations. KPMG's role is to assist the DoS in administering the Account through activities such as transaction traceability, monitoring, forensic review procedures, documentation of controls, and reporting activities. KPMG delivers a multidisciplinary team of subject matter specialists combining expertise in forensic financial services, banking operations and controls, oil and gas, and Venezuelan market dynamics. By pairing U.S.-based professionals with local specialists who possess in-country experience, KPMG provides the practical, on-the-ground insights necessary for robust account oversight, proactive risk identification, and comprehensive reporting.

The following sections examine how these stakeholders interact throughout the revenue management lifecycle, including the operation of the Venezuela Custody Account (Section 3), the flow of funds framework (Section 4), deposit collection activities (Section 5), deposit controls and due diligence procedures (Section 6), authorization and allocation processes (Section 7), and controlled disbursement activities (Section 8). These sections detail the processes and controls established to promote transparency, accountability, and stewardship of Venezuelan natural resource revenues.

3. Venezuela Custody Account Summary (January – September 2026)

3.1 U.S. Treasury Venezuela Custody Account and Historical Custody Account Overview

To provide verifiable oversight of Venezuelan natural resource revenues, the U.S. government established a centralized custody account to safeguard sovereign assets and enable deposits to be approved, tracked, and protected from unauthorized use prior to their approved disbursement.

Implementation of this approach was executed in two distinct phases. During the initial phase, through January 2026, for safeguarding purposes, deposit payments made by firms in exchange for the sale of Venezuela-origin natural resources were deposited into a temporary custody account of the BCV's at a commercial offshore banking institution, the Qatar National Bank (QNB), subject to custody controls described in Section 3.1.1 below. By late January 2026, custody account operations transitioned to the U.S. Treasury Venezuela Custody Account.

The following subsections summarize the purpose, activity, and disposition of each of these custody accounts and provide a detailed overview of the transition from the interim arrangement to the active custody account structure. Collectively, they illustrate the volume of natural resource revenues deposited and the amounts disbursed through approved channels.

3.1.1 Phase 1: Interim Custody Account (January 2026)

In January 2026, a temporary custody account of the BCV's at QNB was established to hold deposit payments from the initial U.S.-facilitated sales of Venezuelan oil. Use of the Qatari bank provided a short-term, exigent solution to facilitate the urgent sale of oil that had accumulated in storage and was at risk of creating permanent shut-in of Venezuelan oil production, and to avoid creditor attachment while holding the initial Venezuelan oil deposit payments until the U.S.-based mechanism was established. Similar to the protection from creditor attachment subsequently established by E.O. 14373, this approach prevented creditors from disrupting access to the revenues and allowed for continued availability of funds to address Venezuela's critical economic and governmental needs. This interim mechanism provided emergency liquidity and oversight of $500 million in initial deposits.

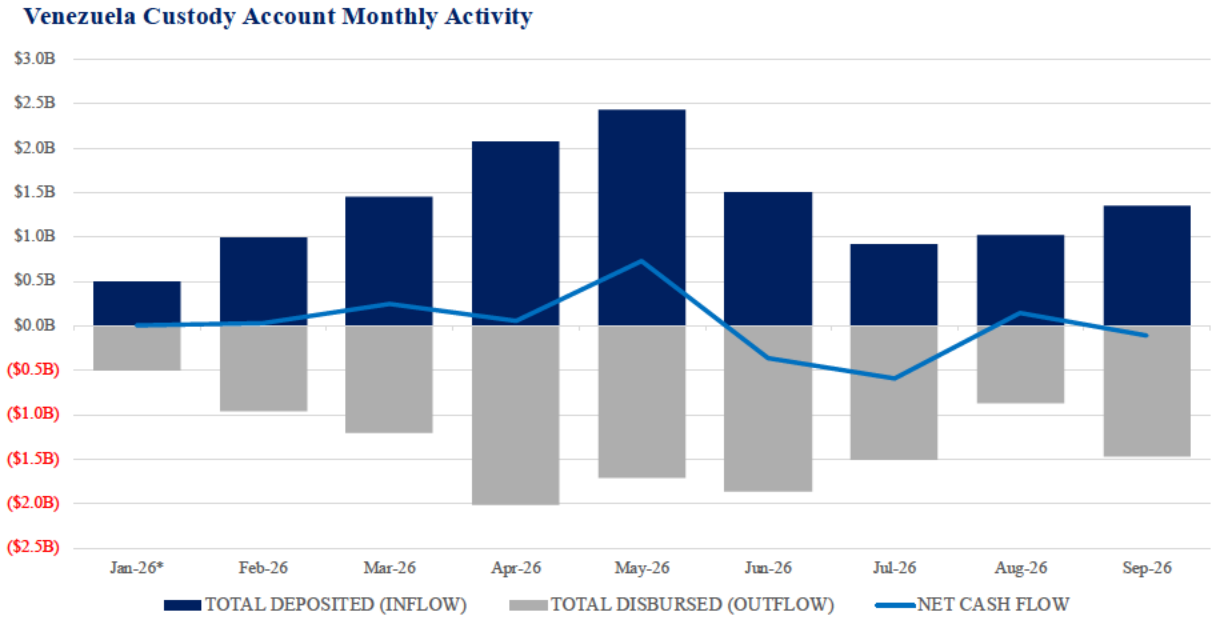
Following receipt of the initial $500 million in deposits, funds were allocated and disbursed to participating Venezuelan financial institutions through a legacy Foreign Exchange Auction process described in Section 7.2.1. On January 15, 2026, $300 million was disbursed to four participating Venezuelan financial institutions: Mercantil C.A. Banco Universal, Banco Provincial (BBVA), Banesco Banco Universal, and Banco Nacional de Credito (BNC). Each institution received $75 million to facilitate the exchange of VES.[7]

Additional authorized disbursements of $163.95 million and $36 million followed on January 23 and January 28, 2026, respectively, bringing total disbursements to $499.95 million. As of September 30, $50,000 remains in the Interim Qatar Custodial Account.

3.1.2 Phase 2: U.S. Treasury Venezuela Custody Account Activity (January 2026 – September 2026)

Since its establishment in January 2026, the Venezuela Custody Account has served as the main mechanism supporting approved program activities. While oil-related transactions represent the largest source of deposits, the framework to accept deposits expanded to accept approved deposit payments associated with gold, mineral, and fertilizer transactions. Funds disbursed from the Venezuela Custody Account are allocated through authorized foreign exchange interventions and vendor payments verified to be consistent with allowable uses, program objectives, and established oversight procedures.

The graph and table in the figure below summarize the monthly deposits, disbursements executed, and ending balances maintained across both the interim (January 2026) and active (January 2026 – September 2026) custody accounts during the reporting period. Note that monthly totals displayed below are in summary and a point-in-time for the Venezuela Custody Account, and transaction-level reporting in figures later in the report displaying deposit, allocation, authorization, transfer, and disbursement amounts may vary due to the timing of operational processing, settlement, and reporting across the various accounts involved in the process.



MONTH	TOTAL DEPOSITED (INFLOW)	TOTAL DISBURSED (OUTFLOW)	REINVESTMENT INTEREST	ENDING BALANCE
January 2026*	$500,000,000	$499,950,000	—	$50,000*
February 2026	$1,000,000,033.28	$964,616,743.46	$0.02	$35,383,289.84
March 2026	$1,452,997,671.79	$1,202,124,431.14	$442,001.72	$286,698,532.21
April 2026	$2,075,200,825.57	$2,018,175,707.00	$2,017,791.20	$345,741,441.98
May 2026	$2,437,346,705.69	$1,710,840,299.42	$2,733,252.16	$1,074,981,100.41
June 2026	$1,501,815,886.94	$1,863,691,018.24	$4,610,914.66	$717,716,883.77
July 2026	$920,988,100.72	$1,506,298,416.00	$1,558,274.00	$133,964,842.49
August 2026	$1,018,598,763.18	$870,627,275.15	$594,222.29	$282,530,552.81
September 2026	$1,356,767,321.19	$1,471,298,309.14	$558,909.39	$168,558,474.25
Total	**$12,263,715,308.36**	**$12,107,622,199.55**	**$12,515,365.44**	**$168,558,474.25**

**January 2026 activity reflects transactions executed through the interim Qatar account prior to the establishment of the active Venezuela Custody Account.*

Figure 3: Monthly Account Activity[8]

The transition from the Interim Account to the Venezuela Custody Account marked the shift from an emergency mechanism to longer-term financial stabilization.[9] The next section describes how these funds move through the operating model from collection through final disbursement.

4. The Process

4.1 The Flow of Funds



Figure 4: The Flow of Funds

To provide financial visibility, the process is structured around a four-stage resource lifecycle as illustrated in the figure above. These sequential operational stages serve as a roadmap for this report, tracing the secure flow of funds from their initial deposit into the Venezuela Custody Account to their circulation into the Venezuelan economy.

Stage 1: Sale of Natural Resources: Pursuant to the conditions set forth in applicable OFAC General Licenses (such as General License 52), any persons purchasing covered Venezuelan natural resources, which include oil, gold, minerals, and fertilizer, must deposit payment into the Venezuela Custody Account. Funds are held in suspense until the funding source verification workflow is complete.

Stage 2: Deposits into Venezuela Custody Account: The DoS receives and reviews deposit requests and supporting transaction documentation from first-time depositors, as established in OFAC FAQ 1239. Upon approval and provision of the deposit account information, the company deposits the funds into the Venezuela Custody Account, where they are held until the BCV, on behalf of the interim Government of Venezuela, requests the funds be disbursed.

Stage 3: Disbursement Requests and Authorization: Any disbursement of funds from the Venezuela Custody Account requires authorization from the DoS and U.S. Treasury. The BCV initiates this process by submitting a formal disbursement request to the DoS and U.S. Treasury, including a package of supporting documentation. The DoS, U.S. Treasury, and KPMG conduct risk-based reviews of the BCV's requests before disbursements are approved by the DoS and Treasury.

Stage 4: Controlled Disbursement: After a disbursement obtains the requisite U.S. government approvals, it is executed for its specifically authorized purpose through one of two closely monitored pathways: FX Interventions and Vendor Invoices.

5. Stage 1: Sale of Natural Resources



Under Venezuela Sanctions Regulation, 31 CFR part 591, all transactions, including the purchase of natural resources, involving the Government of Venezuela, PDVSA, or any entity in which the Government of Venezuela owns, directly or indirectly, a 50 percent or greater interest, are prohibited unless licensed by OFAC.[10] To enable natural resource sales without misdirecting funds, OFAC, in coordination with the DoS, issued a series of general licenses that conditioned authorized sales upon a designated deposit model, whereby approved purchasers of Venezuelan natural resources are required to deposit payment owed to blocked persons, including PDVSA, into the Venezuela Custody Account rather than disbursing funds directly. Deposits into this account occur exclusively when:

1. The commodity transaction involves:
    a. Authorized activities involving oil, petroleum products, fertilizer, or agricultural inputs, as defined by OFAC FAQ 1226 and in the annex of General License 46E, conducted under a valid, explicit, and verified OFAC General or Specific License.
    b. Authorized activities involving coal or minerals, including gold, as defined in OFAC General License 51D, conducted under a valid, explicit, and verified OFAC General or Specific License.
2. The financial settlement is executed in USD through established clearing systems requiring a compliant, unblocked depository institution.

The deposit collection process begins when entities involved in authorized activities involving Venezuelan natural resources transfer these transaction proceeds directly into the Venezuela Custody Account. The specific controls, onboarding procedures, and due diligence frameworks applied to accept these incoming funds are detailed in Section 6 (Stage 2: Deposits into the Venezuela Custody Account).

5.1 Approved Depositors

The table below details the primary list of depositors as provided by PDVSA and approved by the DoS. The descriptions are based on information obtained about the transactions as well as publicly available information.

Confidentiality Flag: This section includes depositor-specific information and insights that may be subject to confidentiality and NDA requirements.

DEPOSITOR	DESCRIPTION OF DEPOSIT TRANSACTION(S)
[redacted]	Deposits related to the purchase of crude oil, other petroleum products, and mineral resources.
[redacted]	Deposits related to the purchase of crude oil and fuel oil.
[redacted]	Deposits related to the purchase of crude oil.
[redacted]	Deposits related to crude oil transactions from joint venture operations, production, and sales.
[redacted]	Deposits related to the purchase of crude oil.
[redacted]	Deposits related to the purchase of crude oil.
[redacted]	Deposits related to the purchase of fuel oil.
[redacted]	Deposits related to the purchase of crude oil.
[redacted]	Deposits related to the purchase of crude oil.
[redacted]	Deposits related to the purchase of fuel oil.
[redacted]	Deposits related to the purchase of fuel oil.
[redacted]	Deposits related to the purchase of fuel oil.
[redacted]	Deposit related to natural gas transactions from development and production activities.

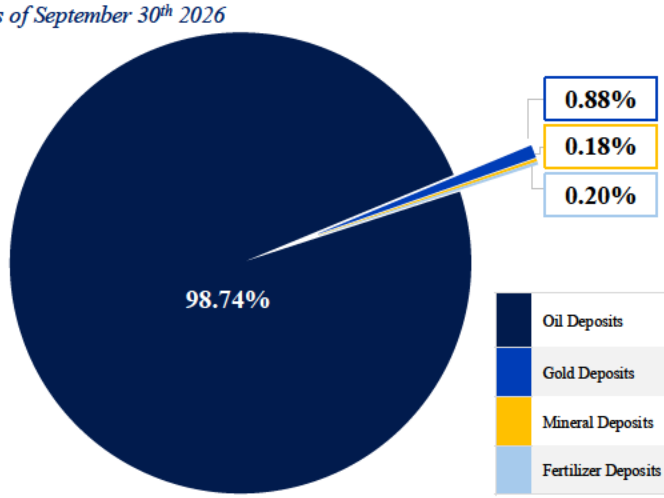
DEPOSITOR	DESCRIPTION OF DEPOSIT TRANSACTION(S)
[redacted]	Deposits related to petrochemical and fertilizer-related transactions.
	Deposit related to the purchase of liquefied petroleum gas (LPG) products, including Propane HD-5.
	Deposits related to commercial aviation operations and the purchase of fuel oil.
	Deposits related to commercial aviation operations and the purchase of fuel oil.
	Deposits related to the purchase of propane and Jet A-1.
	Deposit to settle a debt for fuel purchased by World Kinect Corporation (WKC).
	Deposits related to the purchase of primary aluminum.

Figure 5: Approved Depositors as of September 30, 2026[11]

5.2 Authorized Deposits & Financial Summary

As of September 30, 2026, cumulative deposits totaled $12.26 billion. Deposit payments into the oil subaccount (inclusive of oil, other petroleum-based products, and one natural gas deposit) made up 98.7% ($12.11 billion) of total deposits. Deposits from the sale of gold accounted for 0.88% ($108.0 million), mineral sales accounted for 0.18% ($22.0 million), and fertilizer sales accounted for 0.20% ($24.6 million). Deposits are tracked through commodity-specific subaccounts within the FGDF custody structure, allowing for more organized tracking and data reconciliation. By isolating deposits into dedicated subaccounts, the structure establishes a robust audit trail and allows compliance checks, including prior DoS approvals, to be executed efficiently at the individual subaccount level. Subaccounts for the deposit of revenue associated with oil, gold, and minerals transactions were established on January 28, 2026. The fertilizer subaccount was established on July 21, 2026; prior to this date, fertilizer-related deposits were reported within the mineral account.

TOTAL DEPOSITS
$12,263,715,308.36
As of September 30th 2026



Oil Deposits	Oil, other petroleum-based products, and natural gas.	$12,109,062,429.57
Gold Deposits	Certified gold sales and trading activities.	$108,015,082.92
Mineral Deposits	Authorized mineral transactions and associated trading.	$22,000,000.00
Fertilizer Deposits	Fertilizers, petrochemicals, urea, and related products	$24,637,795.87

	OIL DEPOSITS	MINERAL DEPOSITS	GOLD DEPOSITS	FERTILIZER DEPOSITS	TOTAL
JAN	$500,000,000.00	-	-	-	**$500,000,000.00**
FEB	$1,000,000,033.28	-	-	-	**$1,000,000,033.28**

MAR	$1,322,982,588.87	$22,000,000.00	$108,015,082.92	-	**$1,452,997,671.79**
APR	$2,075,200,825.57	-	-	-	**$2,075,200,825.57**
MAY	$2,437,346,705.69	-	-	-	**$2,437,346,705.69**
JUN	$1,501,815,886.94	-	-	-	**$1,501,815,886.94**
JUL	$909,766,944.60	-	-	$11,221,156.12	**$920,988,100.72**
AUG	$1,018,598,763.18	-	-	-	**$1,018,598,763.18**
SEP	$1,343,350,681.44	-	-	$13,416,639.75	**$1,356,767,321.19**
TOTAL	**$12,109,062,429.57**	**$22,000,000.00**	**$108,015,082.92**	**$24,637,795.87**	**$12,263,715,308.36**

Figure 6: Types of Deposits by Resource[12]

The figure above examines total deposit amounts by category. The oversight approach for Stage 1 combines PDVSA's commercial partner information with a risk-based, transactional review model managed by the DoS and conducted by KPMG. Once deposits are accepted into the Venezuela Custody Account, oversight shifts from the inflow of deposits to holding the assets until they can be disbursed for the benefit of the Venezuelan people. Section 6 details the controls and procedures governing how these funds are authorized and subsequently held by the U.S. Treasury.

6. Stage 2: Deposits into the Venezuela Custody Account



This section provides an overview of the Venezuela Custody Account deposit mechanism, including deposit inflows, financial governance, and oversight methods administered under the supervision of the DoS and U.S. Treasury. It outlines the controls, reconciliation processes, and traceability measures used to monitor deposit payments from receipt into designated custody accounts through authorized disbursement activities. As noted above, these processes have been and will continue to be refined as needed over time. The section also summarizes the depositor approval framework, including the due diligence, screening, and onboarding procedures applied to prospective depositors. PDVSA, as the primary seller of natural resources, identifies its commercial partners and provides a list of prospective entities to the DoS. KPMG, as a technical monitor and advisor to the DoS, then conducts due diligence on those specific entities and transactions as directed by the DoS. Collectively, these measures enhance transparency, protect the integrity of the Venezuela Custody Account, and provide the DoS with visibility into entities that may present sanctions, compliance, or other financial crime risks.

6.1 How Funds Enter the Venezuela Custody Account

Before funds are administered and disbursed, they are first admitted into the Venezuela Custody Account through a controlled intake process to provide transparency, accountability, and financial integrity. Because downstream activities rely on the legitimacy of incoming funds, deposits are subject to verification procedures to determine the source, purpose, and details of each transaction, including validation of counterparties and supporting documentation.

This section describes the receipt, review, and management of deposits into the Venezuela Custody Account. This includes a standard depositor onboarding process for approved counterparties that have provided documentation regarding the underlying transaction-generating deposits and the procedures applied when funds are deposited from unidentified, unapproved, or otherwise anomalous sources that have not provided required transaction details. Together, these controls help maintain the integrity of the custodial structure and support confidence in the deposit payments entering the program.

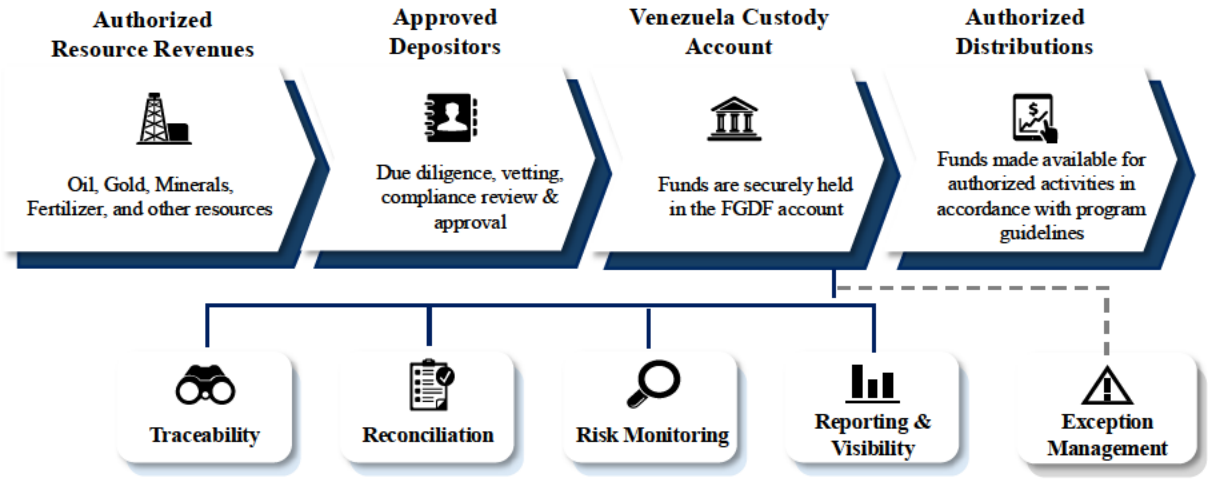


Figure 7: Deposit Management[13]

6.1.1 Standard Depositor Intake

Under the deposit guidelines established by OFAC FAQ 1239, prospective depositors must submit required deposit information and compliance documentation to the DoS's dedicated inquiries mailbox (DepositorInquiries@state.gov). Depositors must provide information listed in OFAC FAQ 1239 before a deposit can be approved, including:

1. Full legal names and addresses of corporate depositor and all contract parties (including subsidiary information, as applicable);
2. Detailed description of the underlying contract or obligation, including the purpose and nature of the payment (including information on the type of product and amount purchased and/or sold);
3. Date of sale and copies of the corresponding invoice(s), contract number(s), and any relevant reference identifiers;
4. Total payment amount, currency, and proposed payment date(s);
5. Identification of the license authorizing the transaction;
6. Copies of any other transaction record(s) to validate the deposit; and
7. Primary point of contact for any follow-up questions, including name, title, telephone number, and email address.

KPMG, in coordination with the DoS, will communicate with prospective depositors to obtain any outstanding information. The DoS shares account information with depositors after obtaining the requisite information and documentation and validating the transaction.

6.1.2 Non-Standard Intake Workflow (Suspense Mitigation)

To maintain the integrity of the Venezuela Custody Account and prevent unauthorized, fraudulent, or non-compliant deposits, any deposits made into the account without prior approval from the DoS are treated as compliance risks until their source and purpose can be verified. These funds are isolated and subjected to additional review. Although this is not a common occurrence, these instances are subjected to established due diligence processes.

In these instances, the DoS places the funds in suspense. KPMG, in coordination with the DoS, initiates outreach to the depositor and other relevant parties to obtain the required documentation, which is then reviewed by KPMG and the DoS. If the information is deficient, the deposit is rejected and the funds return to the prospective depositor's bank that sent the funds to the Venezuela Custody Account.

6.2 Deposit Activities

Funds are deposited into the Venezuela Custody Account in accordance with applicable OFAC licenses (which require depositors engaged in covered activities to deposit funds into the Venezuela Custody Account) and are subject to DoS approval. The DoS ensures deposit payments are allocated to appropriate subaccounts based on information about the transaction generating the proceeds for deposit.

Under these authorizations, cumulative natural resource funds deposited into the account totaled $12.26 billion across 20 registered depositors between January 1 and September 30, 2026. The figure below illustrates monthly deposit trends and summarizes cumulative depositor activity demonstrating that deposit activity was initially concentrated among a limited number of counterparties, with participation broadening over time as additional depositors were onboarded through September 2026.

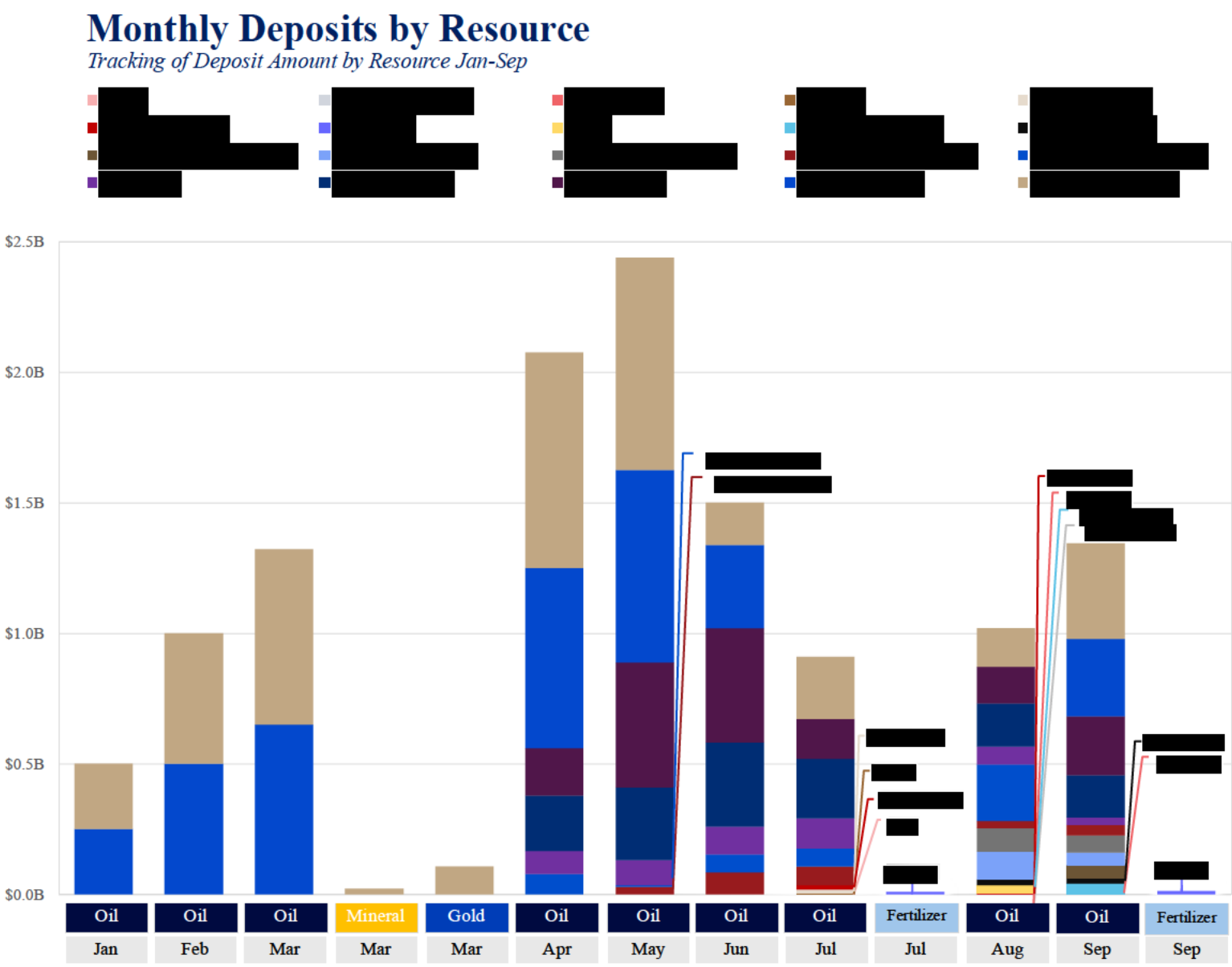


Figure 8: Total Deposit Payments and Amount of Deposits[14]

From January through March, deposits by several global commodity traders accounted for virtually all payments. Following the publication of OFAC FAQ 1239 on March 4, 2026, the approved depositor base expanded as additional counterparties were onboarded.

	NUMBER OF DEPOSITORS				
DEPOSITOR	OIL	GOLD	FERTILIZER	MINERALS	TOTAL AMOUNT DEPOSITED
[redacted]	40	3	-	1	$4,101,576,516.88
[redacted]	27	-	-	-	$3,442,884,591.69
[redacted]	11	-	-	-	$1,611,923,015.42

NUMBER OF DEPOSITORS					
[redacted]	190	-	-	-	$1,372,286,289.51
[redacted]	20	-	-	-	$502,475,792.46
[redacted]	5	-	-	-	$438,844,129.81
[redacted]	11	-	-	-	$255,080,012.34
[redacted]	4	-	-	-	$156,004,575.41
[redacted]	3	-	-	-	$154,586,000.00
[redacted]	3	-	-	-	$47,369,476.61
[redacted]	2	-	-	-	$47,159,539.00
[redacted]	2	-	-	-	$38,719,702.00
[redacted]	2	-	-	-	$29,875,055.33
[redacted]	-	-	2	-	$24,637,795.87
[redacted]	5	-	-	-	$17,911,686.03
[redacted]	1	-	-	-	$14,220,000.00
[redacted]	1	-	-	-	$5,407,500.00
[redacted]	13	-	-	-	$1,348,570.00
[redacted]	1	-	-	-	$933,559.00
[redacted]	7	-	-	-	$471,501.00
TOTAL	**348**	**3**	**2**	**1**	**$12,263,715,308.36**

Figure 8: Total Deposits and Volume of Deposits (Continued)[15]

The deposits in the table above are from approved depositors that PDVSA has confirmed and the DoS has reviewed. The following section describes the framework used to assess depositor risk and support informed participation decisions.

6.3 Due Diligence and Deposit Reviews

To safeguard the integrity of the program, KPMG and the DoS evaluate prospective depositors through a risk-based due diligence and deposit review process prior to granting access to the Venezuela Custody Account. The review involves the assessment and reconciliation of information and documentation relating to the depositor, counterparties, and underlying depositor relationship, supplemented by open-source intelligence reviews to validate entity legitimacy and identify potential financial crimes, sanctions, compliance, operational, or reputational risks.

The due diligence framework is designed around five (5) core risk categories:

- Financial Crime and Reputational Risk: Assesses whether the transaction or associated parties present money laundering, fraud, bribery, corruption, illicit-finance, or material reputational concerns.
- Sanctions Risk: Assesses direct or indirect exposure to sanctioned parties, including ownership, transportation assets, intermediaries, and potential sanctions-evasion structures.
- Entity Legitimacy & Transactional Transparency: Assesses whether involved entities are legitimate and whether their ownership, operations, and transaction flows are transparent, logical, and commercially justified.

- Invoice & Documentation Integrity: Assesses whether invoices, contracts, and transfer records are accurate, complete, reconcilable, and sufficient to substantiate authorized goods or services.
- Conflicts of Interest: Assesses potential self-dealing, state capture, non-arm's-length arrangements, or undisclosed relationships that could compromise transaction integrity.

As directed by the DoS, KPMG conducts Enhanced Due Diligence (EDD) on specific entities and deposits, including reviews of originators, intermediaries, and beneficiaries. As part of the review process, KPMG assesses the depositor relationship and associated parties through validation of organizational identity, ownership structures, operational activities, relevant OFAC licensing considerations, and the nature and purpose of the underlying transaction. Depending on the level of risk identified, additional procedures may include outreach to depositors, requests for supplemental documentation, coordination with OFAC to confirm license compliance, or reviews of other related entities and counterparties. When reviews initially identify risk indicators requiring further diligence, KPMG assists the DoS with additional document requests and other information tracking to resolve any missing information, or, if appropriate, support the DoS decision to reject or continue to suspend a depositor until all information gaps could be resolved.

7. Stage 3: Disbursement Requests and Authorization



Disbursement requests are subject to a structured authorization process. The BCV sends requests with relevant supporting documentation to the DoS. At the direction of the DoS, KPMG reviews each request to confirm that the funds support DoS-approved purposes and satisfy documentation requirements and applicable governance, compliance, and oversight standards. This review includes analysis of counterparties, ownership structures, sanctions considerations, terrorist finance risks, contractual arrangements, and the proposed use of funds. The following sections outline the disbursement request intake process, disbursement channels, and the associated controls and diligence program to validate these disbursements.

7.1 Request and Intake Process

Funding requests initiated by the BCV may ultimately be routed through one of two disbursement channels: FX Interventions (Electronic and Banknote) or Vendor Payments, as illustrated in the figure below.

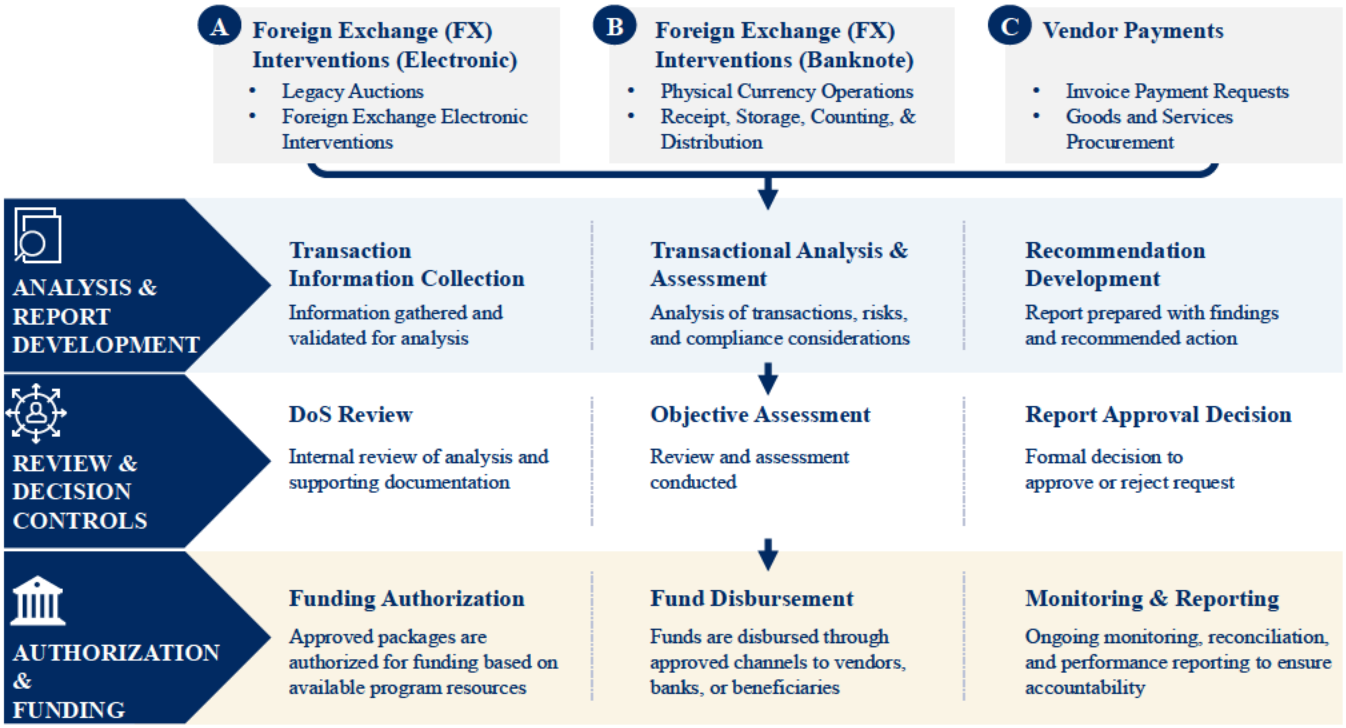


Figure 9: Overview of Request & Intake Process[16]

These channels share a common framework for review, authorization, and oversight, although each specific payment type is governed by its own dedicated set of review, diligence, and verification processes. Each serves a distinct operational purpose and has evolved in response to program requirements.

7.2 Evolution of FX Mechanism

The FX Market System injects USD liquidity into the Venezuelan economy through controlled and transparent mechanisms. Since the program's inception, the system has evolved in response to operational requirements and the maturation of program controls. Until March 2026, USD were disbursed through a Legacy Auction Mechanism before the BCV transitioned to a FX Intervention Mechanism. In July 2026, following the devastating earthquakes that struck north-central Venezuela in June, Banknote FX Interventions were introduced to further expand access to USD liquidity and provide physical currency for circulation through the economy. The earthquakes caused severe structural damage and widespread power and telecommunication outages, affecting electronic transaction channels and digital payment systems across major states. As a result, the DoS and U.S. Treasury worked with the BCV to implement a program allowing for FX interventions using physical USD banknotes to maintain market transactions, support localized emergency commerce, and facilitate humanitarian relief operations.

Together, the Electronic and Banknote FX Intervention Mechanisms support economic stabilization objectives while maintaining oversight, accountability, and transparency across the disbursement process.

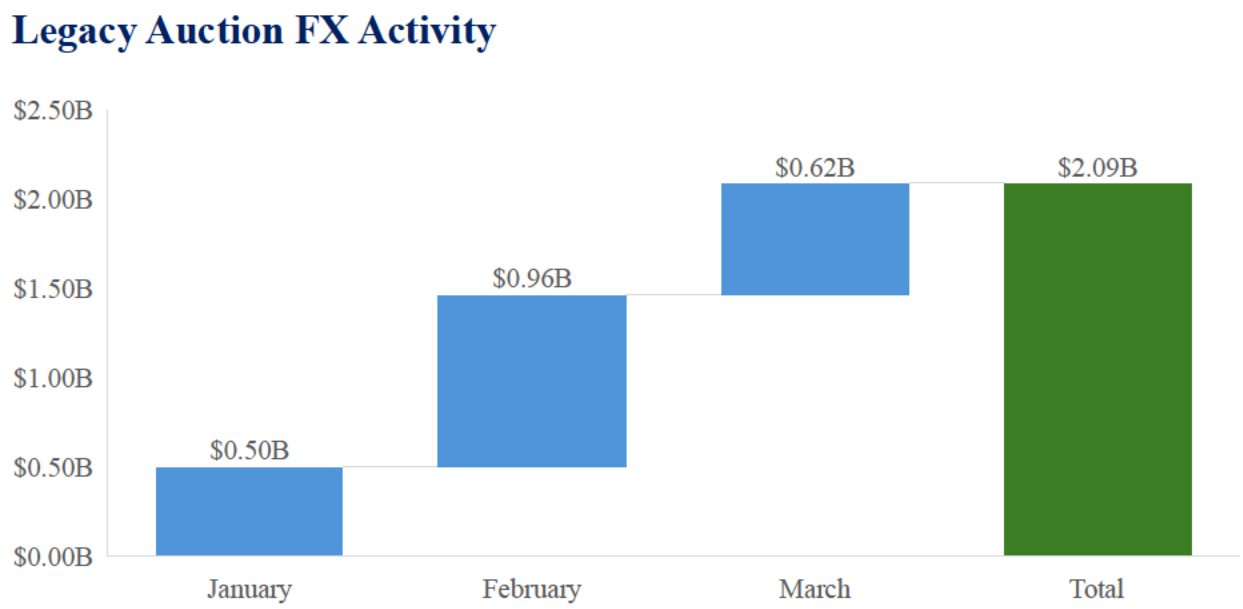
The following sections describe the Legacy Auction model and the two active Foreign Exchange Mechanisms used to deploy approved funds into the Venezuelan economy.

7.2.1 Legacy Auction Mechanism (January 2026 – March 2026)

The BCV has historically used USD generated from oil sales to influence exchange rates, manage liquidity, and provide targeted access to USD. Following the establishment of the Venezuela Custody Account, a similar objective remained: introducing USD liquidity into the domestic economy through a controlled and transparent process. During the program's initial phase, this objective was achieved through a BCV-administered Auction Mechanism.

Under the Legacy Auction Mechanism, individuals and businesses submitted bids through participating commercial banks, specifying both the amount of USD sought and the exchange rate they were willing to pay. The BCV reviewed submitted bids, determined allocations, and disbursed USD through participating Venezuelan financial institutions. Unlike rate-fixing interventions, the BCV's Auction Mechanism facilitated a market-based float, with the BCV setting only the volume of USD offered, while the market largely determined the price.

This model was used during the program's stabilization phase to facilitate a total of 101 public auctions between January and March 2026. The following section describes the current Electronic FX Intervention Mechanism, which became the program's primary Foreign Exchange disbursement channel beginning on March 31, 2026.



MONTH	TOTAL AMOUNT DISBURSED
January	$499,950,000.00
February	$964,616,743.46
March	$623,180,881.66
Total	**$2,087,747,625.12**

Figure 10: Legacy Auction Activity[17]

7.3 Electronic FX Intervention Mechanism

The transition to an Electronic FX Intervention model allows for USD liquidity to be disbursed more efficiently and at a fixed exchange rate throughout the Venezuelan economy. Unlike the volume-managed auctions that allow for a market-based float, the BCV's intervention mechanism sets a fixed exchange rate. Under this mechanism, the BCV submits Foreign Exchange disbursement requests to the DoS for review and approval. Once approved, authorized funds are disbursed across Venezuelan commercial banks as authorized based on allocation factors determined by the BCV such as liquidity needs, macroeconomic targets, banking sector VES account balances, historical intervention participation, and each participating institution's demonstrated capacity to distribute USD to its clients through established banking channels.[18] Concurrently, the BCV debits each bank's account for the corresponding VES value using an exchange rate established by the BCV. This debiting process serves a dual-monetary purpose that funds the state while managing the monetary supply. Through this mechanism, the BCV gathers local VES in exchange for USD; these VES are then used for government expenditures, such as to fund public sector payrolls. Monetarily, this allows the BCV to absorb (sterilize) excess local currency from circulation, enabling the state to meet its budget needs without printing unbacked currency.

Participating Venezuelan commercial banks are required to purchase their allocated amount of USD and distribute the funds to eligible businesses and individuals through established banking channels. The intervention model enables the BCV to directly manage the timing, volume, and exchange rate of intervention allocations. Once funded, participating institutions distribute USD through a series of intervention events in which businesses and individuals may purchase USD through approved banking products and services, including USD accounts. This process is supported by the BCV's technology platform, which provides the BCV visibility into allocations, account balances, and intervention activity, and allows it to share this information with the DoS and KPMG. As illustrated in the figure below, each intervention follows a structured sequence of activities involving the BCV, participating financial institutions, and end recipients, from initial allocation through final disbursement and settlement.[19]

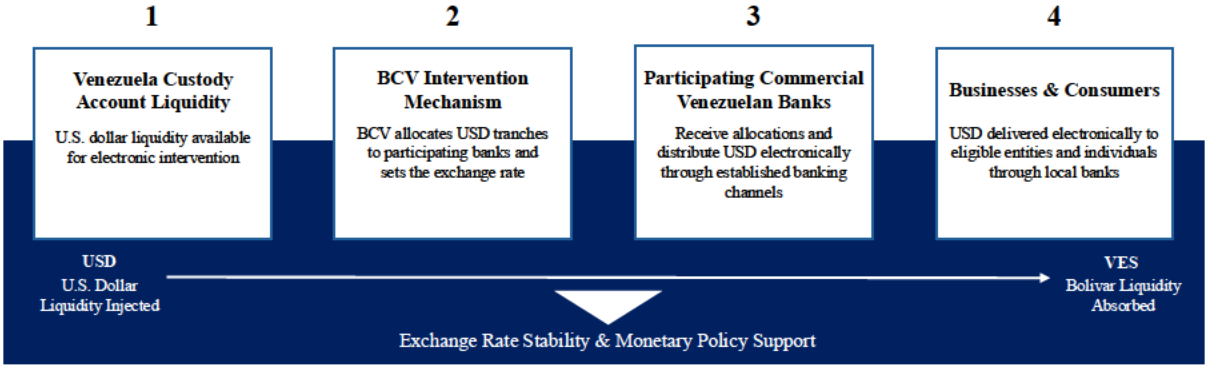


Figure 11: Electronic FX Intervention Overview

Since its implementation, the Electronic FX Intervention Mechanism has served as the program's primary channel for distributing USD to the Venezuelan economy. The intervention framework defines how

liquidity is allocated, and the operational process governs how funds move from the BCV through commercial banks and ultimately to businesses and individuals.

7.3.1 Electronic FX Intervention Control Process

The Electronic FX Intervention process follows a structured cycle to identify, assess, monitor, and document fund flows. The lifecycle begins when the BCV submits bank-level foreign exchange allocation requests to the DoS for review and approval. Following review and approval by the DoS and the U.S. Treasury, authorized funds are transferred from the Venezuela Custody Account to a BCV operational account for subsequent distribution across participating commercial banks. The DoS and U.S. Treasury serve a custodial function and administer requested deposits and disbursements in alignment with E.O. 14373, and the list of approved and prohibited expenditures.

As part of its monetary policy program, the BCV conducts foreign exchange interventions on a weekly basis and determines the amount of USD to be allocated to participating institutions. The allocation date and intervention date are effectively the same, representing the point at which the BCV assigns USD to a participating bank. Following the intervention date, participating institutions are provided five business days to distribute the USD to eligible customers. Banks may utilize an additional five-business-day liquidation period, resulting in a maximum liquidation period of ten business days from the intervention date.[20]

Transactions are denominated in USD, and as a result, participating commercial banks cannot settle or clear these funds locally; they are legally and operationally required to maintain active correspondent and custodial relationships with U.S. financial institutions. Through these correspondent banking arrangements, participating institutions maintain USD settlement accounts used to receive and distribute foreign exchange intervention allocations. Every dollar disbursed through the electronic FX intervention program therefore passes through the U.S. financial system, making an active U.S. correspondent banking relationship a prerequisite for participation in the program.[21]

Participating commercial banks receive and clear intervention funds through USD settlement accounts maintained with U.S. correspondent banking partners, which are required to facilitate USD-denominated transactions. Individual and corporate recipients, however, may receive intervention funds through foreign-currency accounts maintained at participating Venezuelan financial institutions and are subject to customer identification, sanctions screening, due diligence, and transaction-monitoring requirements before and after funds are disbursed. In addition to customer-level controls performed by participating institutions, U.S. correspondent banks conduct due diligence over the foreign banks with which they maintain relationships, including assessments of AML, sanctions compliance, customer due diligence, and transaction monitoring programs. As a result, the control framework incorporates multiple layers of review across the disbursement chain.

Participating commercial banks screen and monitor customers and transactions, while U.S. correspondent banks independently assess and oversee the control environments supporting these activities. These controls provide additional safeguards designed to identify, investigate, restrict, or reject potentially prohibited or high-risk transactions before and during the movement of funds. Consequently, electronic FX intervention funds are not distributed directly to unidentified members of the public. Rather, access to USD is provided through regulated financial institutions operating within established compliance frameworks and subject to

oversight by the BCV, SUDEBAN, participating U.S. correspondent banks, the DoS, and the U.S. Treasury. This layered structure helps ensure that intervention funds are distributed through institutions that maintain documented customer records, apply sanctions and AML controls, and monitor account activity on an ongoing basis.

Confidentiality Flag: This section includes recipient information that may be subject to confidentiality and NDA requirements.

RECIPIENT COMMERCIAL BANKS	
100% Banco, Banco Microfinanciero, C.A.	Banco Provincial, S.A. Banco Universal
Banco Activo, C.A., Banco Universal	Mercantil Banco, C.A. Banco Universal
Bancrecer, S.A. Banco Microfinanciero	Bancamiga, Banco Universal, C.A.
BFC Banco Fondo Común, C.A. Banco Universal	Banplus Banco Universal, C.A.
Banco del Caribe, C.A. Banco Universal	Banco Digital de los Trabajadores, C.A. Banco Universal
Banco Caroní, C.A. Banco Universal	Banco Sofitasa, Banco Universal, C.A.
Del Sur, Banco Universal, C.A.	Banco del Tesoro, C.A. Banco Universal
Banco Exterior, C.A. Banco Universal	Banco de Venezuela, S.A. Banco Universal
Banco Plaza, C.A. Banco Universal	Banco Nacional de Crédito, C.A. Banco Universal
Banco Venezolano de Crédito, S.A. Banco Universal	Banesco Banco Universal, C.A.

Figure 12: Venezuelan Recipient Commercial Banks[22]

The intervention funding process is settled through a dual-transfer mechanism:

- USD are wired from a BCV operational account through designated U.S. correspondent and custodial banking channels supporting the participating Venezuelan commercial banks.
- VES are concurrently debited from the Venezuelan commercial bank's VES account and transferred to the BCV through the domestic settlement process.

Once allocations have been funded, participating commercial banks distribute USD to eligible and participating customers through a series of intervention events.

Institutional Due Diligence and Account Controls

Integrating the customer-facing control procedures of Venezuelan commercial banks with the independent compliance policies of U.S. and international financial institutions establishes consecutive points of verification across the disbursement chain. Participating commercial banks often treat USD activities as higher-risk, subjecting them to greater review than standard domestic currency accounts.

At participating Venezuelan banks, customers seeking to open a USD account must clear onboarding controls that prohibit fictitious or anonymous accounts. These controls require formal identity verification, in-person interviews, source-of-funds declarations, and verification against official public registries. To manage ongoing risk, commercial banks utilize risk-based monitoring, customer risk-scoring methodologies, and EDD workflows. These procedures may include enhanced review of higher-risk customers, politically exposed persons (PEPs), and cross-border activities in accordance with internal policies and regulatory requirements.

In addition to customer-level controls performed by participating commercial banks, correspondent banking relationships are themselves subject to ongoing due diligence and risk assessments. U.S. correspondent banking institutions evaluate the AML, sanctions compliance, customer due diligence, and transaction monitoring frameworks maintained by participating financial institutions as a condition of establishing and maintaining correspondent banking relationships. This creates an additional layer of oversight across the

disbursement chain, where U.S. financial institutions independently assess the control environments supporting the movement of USD funds.

U.S. correspondent banks function as an independent compliance control point within the disbursement chain. To comply with federal regulatory requirements, these institutions perform independent sanctions screening, transaction monitoring, and periodic review activities, while retaining the authority to block, reject, or freeze transactions that trigger sanctions or compliance alerts.

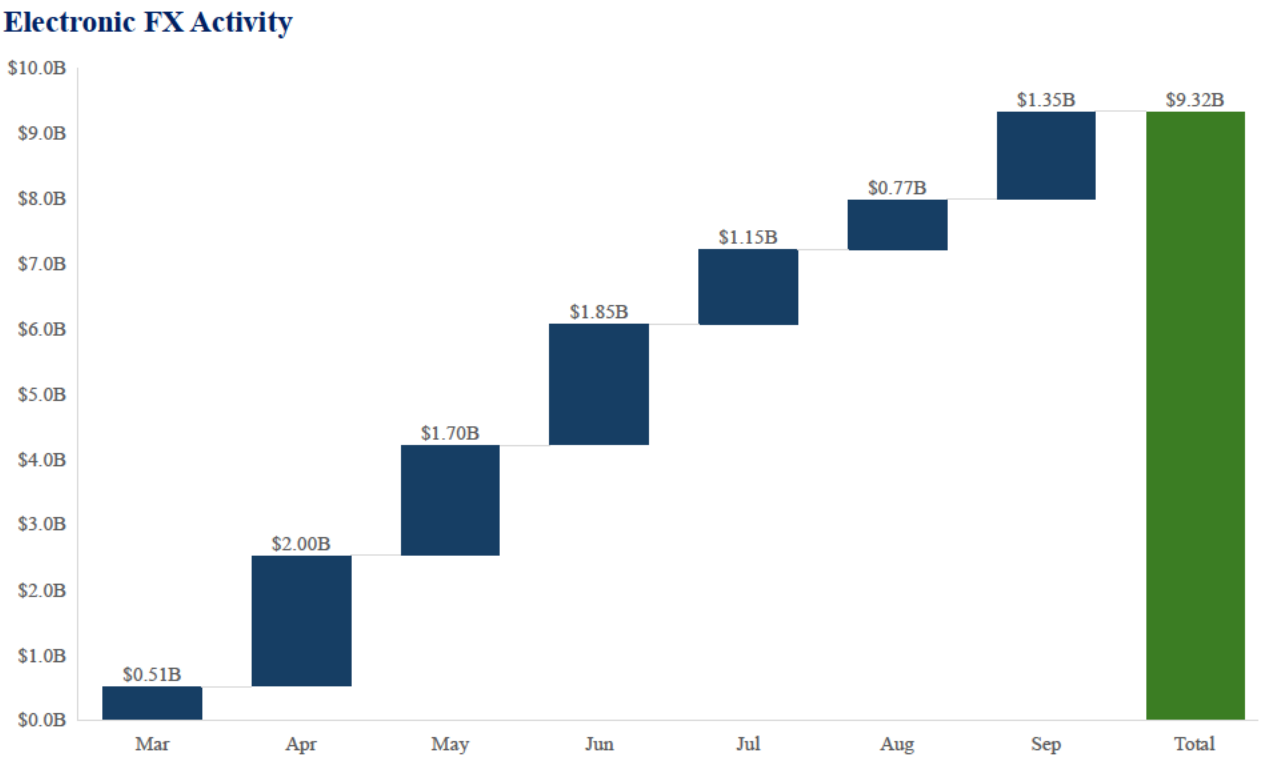
Escalation Workflows and Downstream Visibility

When compliance exceptions are identified, participating financial institutions may temporarily restrict account activity pending further review. These institutions maintain controls to identify and address potential financial crime risks, including account review and conditioning procedures, sanctions screening and escalation protocols, restrictions for confirmed sanctions matches, and the reporting of suspicious activity to applicable regulatory authorities in accordance with legal and regulatory requirements.

This commercial and correspondent banking control structure is supplemented by downstream transparency mechanisms for continuous financial oversight. The BCV provides the DoS and KPMG transaction-level reporting covering each USD intervention disbursement, which allows for review, analysis, and downstream screening of transactions. This expanded reporting provides enhanced visibility into end-recipient populations, operational industry sectors, and transaction velocities across the commercial banking system, supporting ongoing tracking, recipient analysis, and trend testing of intervention outcomes.

7.3.2 Electronic FX Intervention Activity

Between March 31, 2026, and the end of the reporting period, a total of $9.32 billion has been disbursed through the Electronic FX Intervention Mechanism.[23]



MONTH	TOTAL AMOUNT DISBURSED
March	$512,000,000.00
April	$2,000,000,000.00
May	$1,700,000,000.00
June	$1,850,000,000.00
July	$1,150,000,000.00
August	$765,000,000.00
September	$1,345,000,000.00
Total	**$9,322,000,000.00**

Figure 13: Electronic FX Intervention Activity[24]

Following each allocation, participating institutions distribute USD through a large volume of downstream customer transactions, allowing liquidity to be circulated through the financial system while enabling the BCV to maintain visibility into utilization and settlement activity. This consistent schedule of high-value electronic interventions highlights the mechanism's central role in the program's strategy to support exchange-rate stability and provide ongoing liquidity to the Venezuelan economy.

While the Legacy Auction Mechanism and the Electronic FX Intervention Mechanism operated during different phases of the program, both served the same purpose of introducing USD liquidity into the Venezuelan economy through controlled Foreign Exchange activities. To provide a consolidated view of activity across the reporting period, the figure below combines disbursements executed through both mechanisms and illustrates the transition from the Legacy Auction framework to the Electronic FX Intervention model on March 31, 2026. Collectively, these mechanisms disbursed $11.4 billion between January and September 2026.

Figure 14: Combined Legacy Auction and Electronic FX Activity

Note: Activity includes Legacy Auction Mechanism disbursements through March 30, 2026, and Electronic FX Intervention activity beginning March 31, 2026.

7.4 Banknote FX Interventions Mechanism

In July 2026, the program introduced physical USD Banknote Distribution through the Banknote FX Intervention Program as a complementary mechanism for providing liquidity to the Venezuelan economy. This initiative is supported by an arrangement with the U.S. Department of State (DoS), which authorizes the use of custodial funds to facilitate the import and distribution of physical U.S. currency. The cash distribution process, which is governed for Venezuela by the BCV and SUDEBAN regulatory frameworks, involves pre-shipment bank due diligence, secure air cargo delivery, controlled armored transport to vaults located at BCV facilities, and rigorous multi-day counting procedures to capture and record banknote serial numbers. SUDEBAN, as the primary AML and Countering the Financing of Terrorism (CFT) supervisor for the Venezuelan banking sector, enforces Resolution N° 010.25, which mandates comprehensive risk management systems for all supervised institutions.[25] The Banknote Control Process developed by the DoS and KPMG, in conjunction with the U.S. Treasury and the Federal Reserve, provides the governance and EDD for the implementation of the USD Banknote Distribution.

The Banknote FX Intervention Mechanism is designed to support transactions that rely on cash-based payment methods and to expand access to USD throughout the Venezuelan economy given present limitations to banking access, connectivity to the U.S. financial system, and electronic payment infrastructure. Increasing the volume of physical U.S. currency in circulation allows for a wider diffusion of USD in Venezuela, supporting commercial activity and facilitating the purchase of essential goods and

services. Physical banknotes also help address practical limitations associated with domestic electronic payments, where inflation, currency volatility, settlement delays, and exchange rate differentials may affect the effective value of VES-denominated transactions. Under this program, only authorized entities (businesses and individuals) are eligible to receive banknotes based on respective BCV and commercial bank policies, with 98.7% of disbursements allocated to business entities. As a result, the circulation of physical U.S. currency provides an additional channel for liquidity disbursement and enables wider access to funds for businesses and individuals. This intervention is especially critical considering prevailing humanitarian conditions, where reliable access to physical currency serves as a vital lifeline for purchasing food, healthcare supplies, and other necessities.

Because the distribution of physical currency presents unique operational, security, and compliance considerations, the program incorporates controls governing the shipment, custody, storage, counting, verification, distribution, and monitoring of banknotes. These controls are designed to maintain accountability and traceability throughout the currency distribution process while supporting transparency, regulatory compliance, and oversight requirements.

7.4.1 Banknote Distribution Activity

During the period covered by this report, five distribution cycles were initiated, expanding the program's ability to provide physical currency to businesses and individuals in cash-dependent segments of the economy. The figure below includes the distributors, number of deliveries, amounts, and respective timelines from delivery to distribution.

Confidentiality Flag: This section includes distributor and bank-specific information and insights that may be subject to confidentiality and NDA requirements.

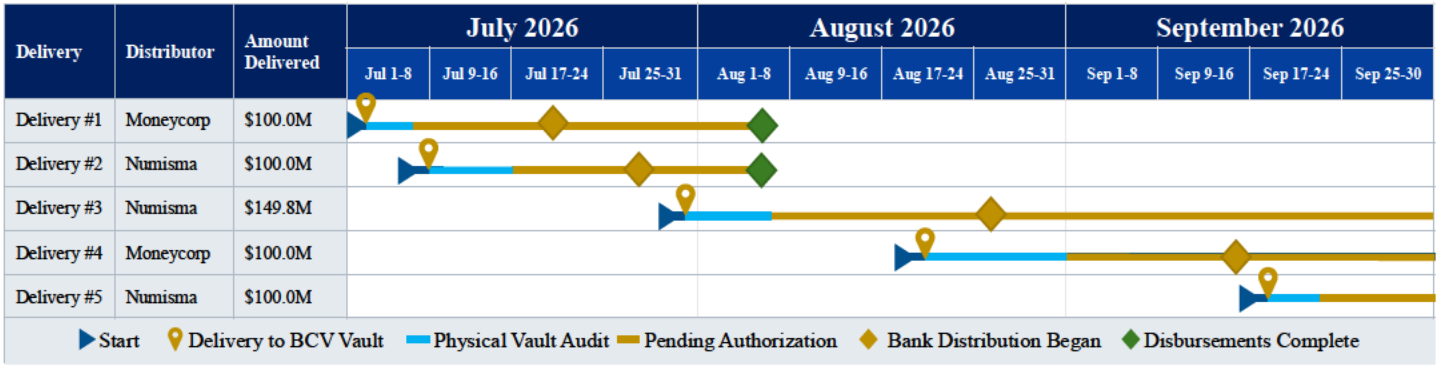
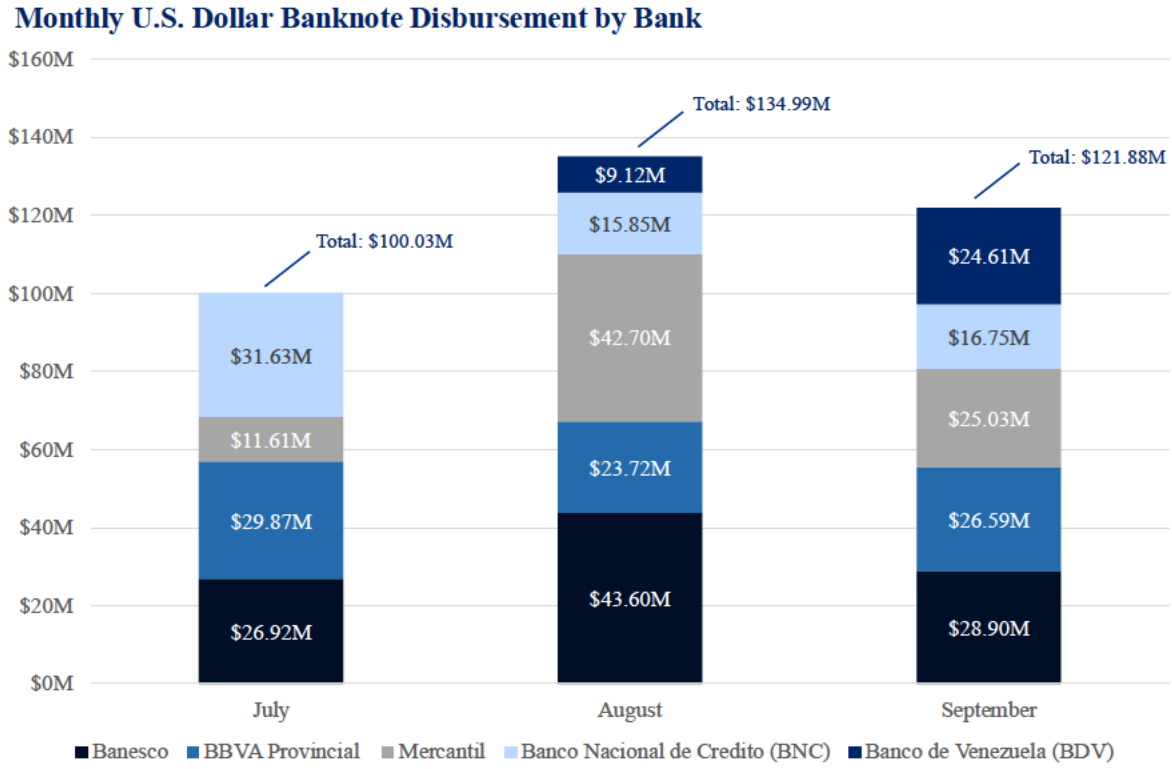


Figure 15: Banknote Distributions

- **Banknote Delivery 1 (July 2, 2026):** The first Banknote FX Intervention was completed with the delivery of $100.0 million in U.S. currency. Following receipt, end-recipient due diligence and cash-handling procedures, including counting, verification, and physical audit activities, were conducted from July 3 to July 6 before funds were distributed to Banesco, BBVA Provincial, BNC, and Mercantil.[26] These institutions were selected during the initial phase of the program based on their established foreign currency operations, correspondent banking capabilities, and documented compliance, AML/CFT, and sanctions-screening frameworks. This initial intervention established the Banknote FX Intervention Program and the operational framework for subsequent Banknote distributions.

- **Banknote Delivery 2 (July 8, 2026):** The second Banknote FX Intervention was completed with the delivery of an additional $100.0 million.[27] Consistent with established procedures, the shipment underwent secure transport, counting, verification, physical audit activities, and due diligence of end recipients between July 9 and July 17 prior to distribution to Banesco, BBVA, Provincial, and Mercantil.
- **Banknote Delivery 3 (July 30, 2026):** The third Banknote FX Intervention, totaling $149.8 million, represented the largest distribution conducted under the program.[28] Following delivery, the shipment underwent secure transport, counting, verification, and physical audit activities between July 31 and August 6. Following these procedures, due diligence of end recipients of the banknotes was conducted before funds were released to participating commercial banks Banesco, BBVA Provincial, BNC, and Mercantil. The first distribution of funds to these banks occurred on August 25. [29]
- **Banknote Delivery 4 (August 21, 2026):** The fourth Banknote FX Intervention was for a total of $100.0 million.[30] The shipment was processed in accordance with established cash-handling procedures, including secure transport, counting, verification, and physical audit activities completed by August 31. Participation was expanded after KPMG and Numisma performed a review of Banco de Venezuela's (BDV) policies and control environments and determined the institution demonstrated sufficiently robust AML and CFT controls to support the controlled distribution of banknotes. Following these procedures, due diligence of end recipients of the banknotes was conducted and $64.0 million in funds was distributed to Banesco, BBVA Provincial, Mercantil, and BDV, with the remaining funds awaiting distribution.
- **Banknote Delivery 5 (September 18, 2026):** The fifth Banknote FX Intervention was for a total of $100.0 million.[31] The shipment was processed in accordance with established cash-handling procedures, including secure transport, counting, verification, and physical audit activities completed on September 22. As of September 30, the funds have not been distributed to commercial banks, and are pending authorization to end recipients, subject to review under the Banknote Control Process.



	RECIPIENT BANK	TOTAL AMOUNT DISTRIBUTED
July	Banesco	$26,922,000.00
	BBVA Provincial	$29,870,300.00
	Mercantil	$11,611,100.00
	Banco Nacional de Credito (BNC)	$31,629,300.00
	Banco de Venezuela (BDV)	$0.00
	Total	$100,032,700.00
August	Banesco	$43,598,500.00
	BBVA Provincial	$23,717,500.00
	Mercantil	$42,701,300.00
	Banco Nacional de Credito (BNC)	$15,852,500.00
	Banco de Venezuela (BDV)	$9,121,700.00
	Total	$134,991,500.00
September	Banesco	$28,898,300.00
	BBVA Provincial	$26,587,800.00
	Mercantil	$25,029,200.00
	Banco Nacional de Credito (BNC)	$16,754,100.00
	Banco de Venezuela (BDV)	$24,611,200.00
	Total	$121,880,600.00
	TOTAL	**$356,904,800.00***

Figure 16: Banknote FX Intervention Activity[32]

**Note: Out of $549,760,000.00 delivered for Banknote FX Interventions, $356,904,800.00 has been cleared and distributed. The balance of $192,855,200.00 remains pending authorization, subject to processing under the Banknote Control Process.*

Because the Banknote FX Intervention Program involves the movement and storage of physical currency, the process requires enhanced custody, security, reconciliation, and monitoring controls. The following

section summarizes the control framework governing the receipt, storage, counting, and distribution of banknotes.

7.4.2 Banknote Control Process

DoS collaborated closely with U.S. Treasury and the Federal Reserve in developing the Banknote Control Process that represents leading oversight practices over the Banknote Distribution lifecycle. The control process establishes a testing framework that mitigates AML, sanctions, and counterfeit risks, aligns key stakeholders across the BCV intervention exchange program, and enables secure, compliant, and expedited downstream distribution of banknotes. DoS partnered with global banknote providers who are licensed non-bank financial intermediaries and specialized international financial entities operating under U.S. regulatory and AML frameworks.

As part of the initial planning, due diligence procedures, and agreements between relevant parties, a variety of controls were agreed to by the BCV. These include, but are not limited to, shipment inspection under Closed Circuit Television (CCTV) or dual control; the BCV warranting that it will not distribute to any party under sanctions by OFAC, EU, UK, or UN; only the transfer to a pre-approved list of licensed Venezuelan banks; sharing of BCV and bank compliance policies; and providing AML and CFT documentation. The BCV must obtain DoS approval prior to distributing banknotes to Venezuelan banks for their customers.

Controls are applied across nine operational stages described and as seen in the figure below. The Banknote Control Process begins with (1) authorization and initiation, which establishes formal approval of the Banknote FX Intervention before any currency disbursement occurs. This is followed by the (2) secure shipment of banknotes using specialized logistics and security escorts to mitigate transit risks. Upon arrival, (3) receipt and secure storage protocols verify the physical intake and prevent unauthorized access at high-security facilities. Once deposited, (4) counting and serial number capture processes verify exact quantities and register unique serial numbers to establish a robust audit trail and detect defective notes. Prospective recipient data are collected from the banks and enable the DoS and KPMG review (5) prior to DoS authorization. Next, the (6) preparation of allocations for commercial banks establishes procedures for the precise packaging and staging of earmarked funds, which are then formally handed over during (7) bank collection and confirmation to legally transfer custody. The serialized currency is then released for (8) distribution to verified end recipients. Finally, the process concludes with (9) financial and performance reporting to consolidate transaction data, evaluate program metrics, and perform final reconciliation.

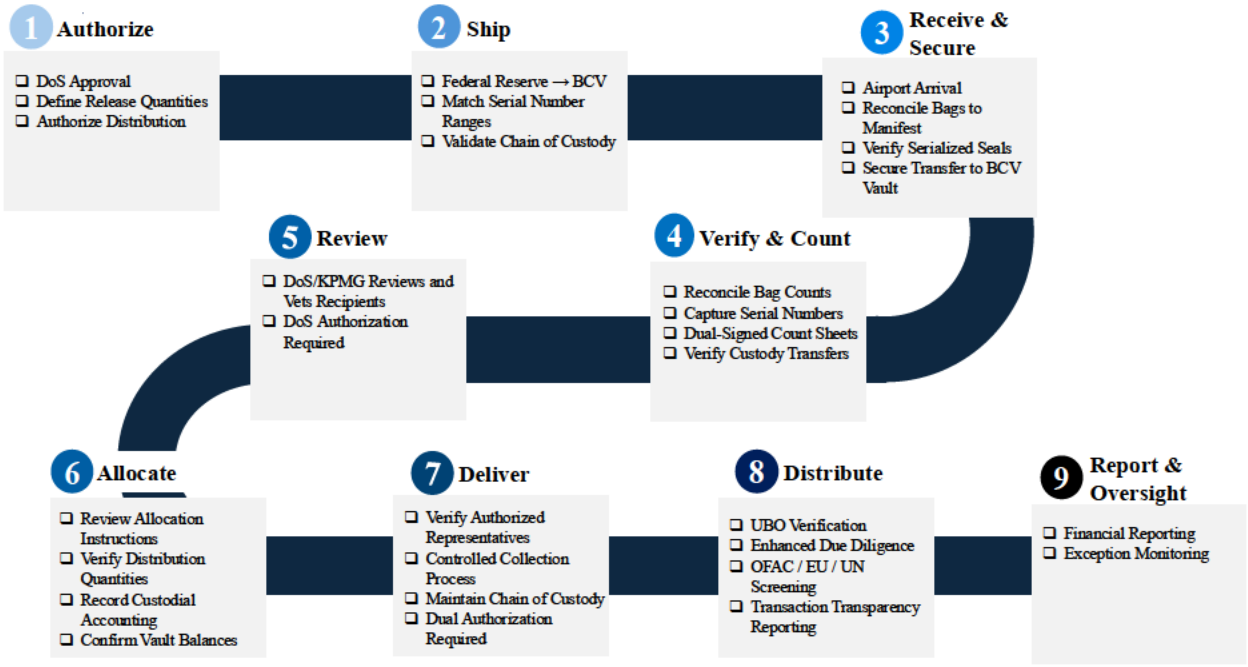


Figure 17: Banknote Control Process[33]

These controls establish a documented chain of custody, require multiple levels of verification and reconciliation, and promote traceability from initial shipment through final distribution to participating commercial banks and end recipients. Detailed process control procedures are described in the Process Narratives and Assessment Program Guides (APG) for Banknotes.[34]

7.4.3 Ongoing Monitoring and Due Diligence

The USD Banknote FX Intervention incorporates transaction-level monitoring and risk-based due diligence procedures designed to promote transparency over the downstream distribution of physical U.S. currency and identify potential sanctions, corruption, fraud, money laundering, reputational, and diversion risks.

Participating commercial banks provide the DoS and KPMG, through mandatory reporting to the BCV, detailed transaction-level data regarding proposed banknote recipients and distributions. This information includes relevant recipient identifiers, such as tax identification numbers, transaction amounts, bank information, and banknote serial-number data, enabling distributed banknotes to be traced through the participating commercial bank to the identified end recipient. This transaction-level traceability strengthens the program's ability to monitor the movement of physical currency, reconcile distributions, and investigate potential discrepancies or other risk indicators.

Physical banknotes allocated for distribution remain in controlled custody and are not released to end recipients until the applicable recipient information has been reviewed and the proposed distributions have been expressly authorized by the DoS. This pre-distribution review provides an opportunity to identify and address potential concerns before physical currency enters broader circulation. Cases determined to present elevated or unresolved risks will be escalated to the DoS for further review and, where appropriate,

recipients will be suspended or removed from the program. KPMG's recipient due diligence procedures include the following:

REVIEW AREA	DUE DILIGENCE PROCEDURES
Recipient Identity, Legitimacy and Ownership	• Validate recipient names and identifying information. • Assess legal existence, business activities, and operational footprint. • Review ownership and control information, including ultimate beneficial owners and related parties, where applicable. • Assess corporate structures, ownership concentration, and other relationships relevant to the transaction, where applicable. • Identify inconsistencies, information gaps, conflicts of interest, or other affiliations requiring further review.
Sanctions Screening	• Screen recipients, ultimate beneficial owners, controlling parties, and other relevant parties, as available, for sanctions exposure. • Evaluate potential ownership or control by sanctioned persons. • Assess geographic and jurisdictional exposure. • Assess terrorist finance risk. • Identify potential indicators of sanctions evasion or circumvention, where applicable.
Adverse Media, Legal, and Reputational Risk	• Conduct open-source research for credible reporting concerning corruption, fraud, money laundering, sanctions evasion, organized crime, financial misconduct, or other reputational concerns. • Review available court records, regulatory actions, enforcement proceedings, criminal matters, and other legal developments relevant to the recipient's risk profile. • Evaluate the credibility, relevance, and severity of identified information and determine whether additional review is warranted.
Politically Exposed Person (PEP) Screening	• Screen recipients, ultimate beneficial owners, controlling parties, and other relevant parties, as available, for political exposure. • Identify current or former government officials, government entity executives, political party officials, military officials, and their close associates or family members. • Assess the nature and level of political exposure and potential risk of corruption or influence.
Transaction and Financial-Crime Risk	• Evaluate transaction amounts, frequency, patterns, and commercial rationale. • Assess whether activity is consistent with the recipient's apparent business profile. • Identify unusual, anomalous, or potentially suspicious activity requiring escalation.
Enhanced Due Diligence (EDD) and Escalation	• Obtain supplemental information or documentation to address identified risk indicators or information gaps. • Conduct additional research and outreach to participating financial institutions or other relevant parties, as necessary. • Escalate elevated or unresolved risks to the DoS for further review and disposition.

Figure 18: Recipient Due Diligence Procedures

The nature and extent of recipient due diligence vary based on the recipient's profile, transaction value, transaction activity, available information, and identified risk indicators. KPMG also evaluates the AML, sanctions, KYC, and other financial-crime controls maintained by participating commercial banks through regular reviews of relevant policies, procedures, and standard documentation requirements, as well as interviews with bank personnel.

In addition to reviewing recipient risk, KPMG monitors the receipt, custody, storage, and distribution of banknotes and performs sample-based EDD using the methodology described in the following section. This combined approach integrates pre-distribution authorization, transaction-level traceability, recipient screening, commercial-bank control assessments, and ongoing monitoring to support risk-informed oversight throughout the Banknote Distribution lifecycle.

7.5 Statistical Sampling Methodology

This statistical sampling methodology operates within an established oversight framework designed to track allocated funds and perform EDD reviews based on transactions ("Transactions") at each participating commercial bank in Venezuela. The primary objective is to calculate a sample size that can be used to select a statistically representative sample of recipients ("Recipients") on a regularized cadence. Additionally, the methodology enables a representative sample of Banknote Distributions to provide EDD and downstream recipient testing. The diagram below illustrates the operational workflow.

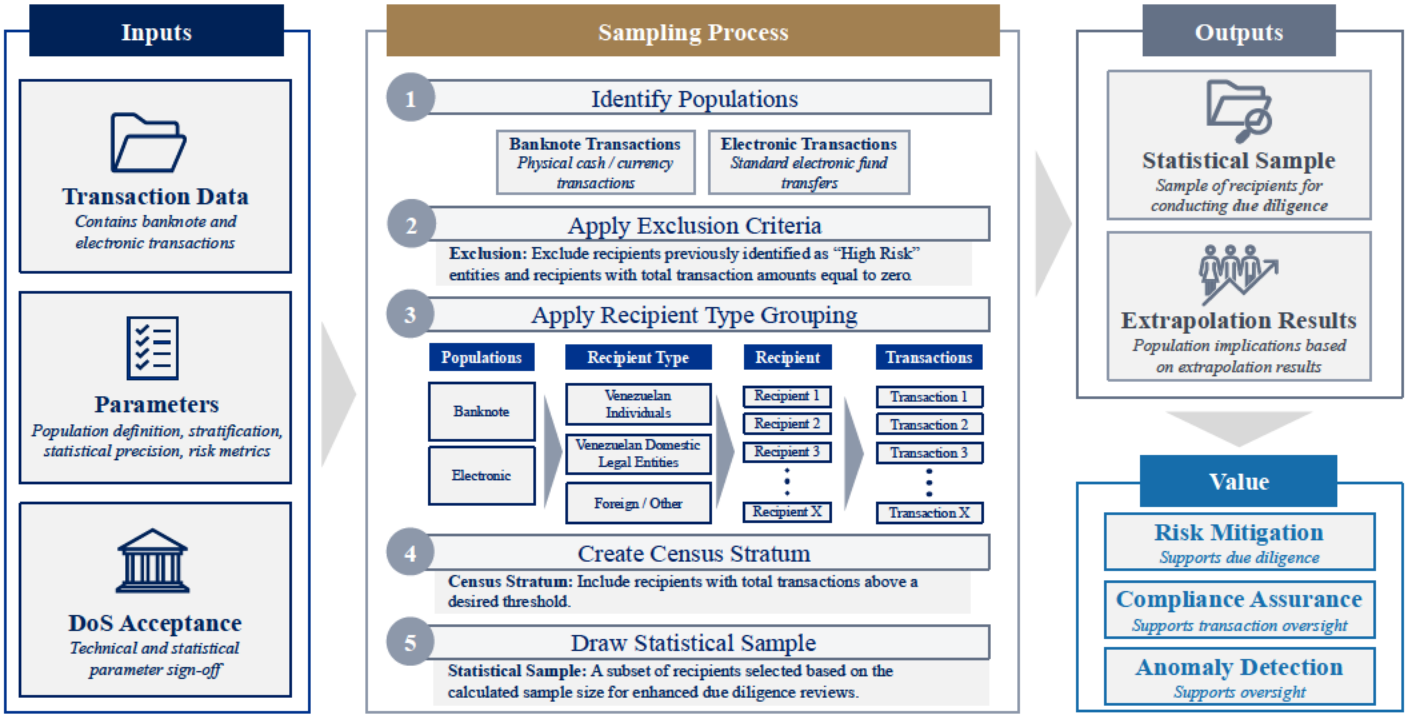


Figure 19: Sampling Process Overview[35]

Inputs

The sampling framework begins by using various inputs to inform the sampling process. This includes transaction-level data including dates, banks, recipients, and transaction amounts; the statistical parameters for sampling, such as population definitions, stratifications, and precision, based on due diligence needs; and the DoS acceptance of the technical and statistical parameters. Transaction data that is missing key information required for sampling or due diligence, such as a recipient's tax identification or transaction amount, are excluded from the sample population. Transactions with missing recipient tax identification are excluded because they cannot be linked to a specific recipient or classified into a recipient type grouping for sampling purposes. Transactions with missing transaction amounts are excluded because they cannot be placed within an appropriate sampling stratum and it is unknown whether there are any dollars at risk for the transaction. As of September 30, 2026, no transaction data is missing recipient's tax identifications or transaction amounts for these missing data field exclusions to be implemented.

Sampling Process

1. **Identify Populations:** To account for inherent variations in transaction frequency, recipient profiles, transfer amounts, and distinct operational characteristics, each transaction type (e.g., banknotes, electronic transfers, etc.) needs to be sampled as a separate population.
2. **Apply Exclusion Criteria**: Recipients previously identified as high risk and recipients with transactions totaling $0 as there are no funds at risk in the transactions.
   - **Apply Recipient Type Grouping**: Transaction categories include Venezuelan Individuals, Venezuelan Domestic Legal Entities, and Foreign / Other. This facilitates representation and analysis of each Recipient Type's operational footprint.
3. **Create Census Stratum**: Prior to drawing the statistical sample, "Transactions" amounts are aggregated at the recipient level, and a census review is conducted on Recipients with total transactions above a desired threshold.
4. **Draw Statistical Sample**: In selecting the sample, recipients and their aggregated transactions are sorted by their unique identifier. Random numbers are generated using Stata and a specified random number of seed.[36] A subset of recipients is selected based on the calculated sample size and these recipients undergo EDD reviews. EDD will not be conducted for recipients of transactions if the recipient has already been reviewed in the prior 12-month period. Previously identified high-risk recipients are tracked for the next 12-month period to prevent them from receiving any Banknote Distributions until they are removed from the high-risk recipient list. This helps isolate new recipients of transactions who have not undergone a due diligence review in the past year. Using transaction-level details alongside a census review of large transaction recipients, the sampling framework generates representative samples tailored to transaction volume and variance, focused on EDD of unreviewed, high-impact recipients, delivering actionable error-rate projections and anomaly detection to safeguard program integrity.

7.6 Vendor Payments

In addition to foreign exchange interventions, authorized funds may be disbursed on behalf of the interim Government of Venezuela directly to vendors and service providers supporting governmental purposes, critical goods, services, and operational needs. Between March 6, 2026 and September 30, 2026, $133.11 million has been disbursed through vendor payments.

Venezuelan law requires that any payments denominated in USD be processed by the BCV. Pursuant to Convenio Cambiario N°1, USD transactions between Venezuelan entities and vendors must be settled through the Cámara de Compensación en Moneda Extranjera, a centralized mechanism administered by the BCV used to clear and settle foreign-currency payments.[37] Because vendor payments involve contractual obligations, identifiable counterparties, cross-border payment flows, and varying levels of commercial and compliance risk, they are subject to a risk-based review and approval process. This process incorporates documentation requirements, compliance screening, appropriate governance approvals, and targeted due diligence measures to assess transaction legitimacy, sanctions compliance, financial integrity, and diversion risks prior to disbursement. The following sections outline the governance framework, review methodology, and oversight processes supporting vendor payments from the Venezuela Custody Account. Disbursements are handled consistent with E.O. 14373 and do not constitute use of funds in the Venezuela Custody Account for commercial activity in the United States.

7.6.1 Process Flow and Vetting Roles

Vendor payment requests are typically made by the BCV for its own internal operating expenses, such as SWIFT messaging services or market subscriptions. The BCV will also request payments to third parties on behalf of other government entities, including for humanitarian, agricultural, and critical infrastructure purposes. These requests follow a defined review and approval workflow involving multiple stakeholders responsible for validating transaction details, evaluating risks, obtaining required approvals, and ultimately executing payments from the Venezuela Custody Account.

The process begins when the BCV submits a payment request and supporting documentation to the DoS and KPMG. The request then progresses through a series of analytical, compliance, and approval stages. Through this review process, transaction details are reviewed and validated before the request can advance through each phase of the approval process.

The figure below illustrates the payment verification process and the sequence of activities performed by each stakeholder.

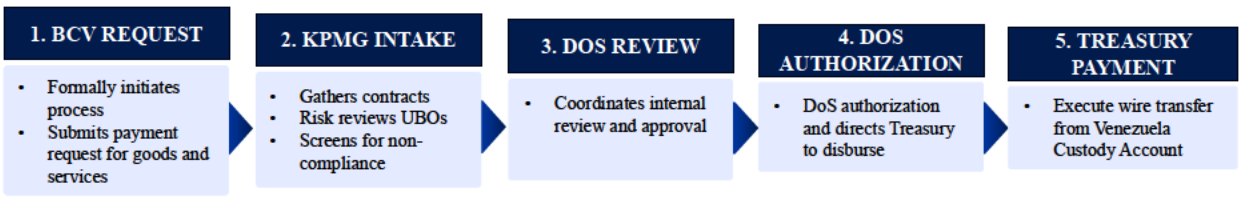


Figure 20: Transaction Verification Process

This process facilitates enhanced transparency, allowing for risk-identification and mitigation before determining whether to authorize proposed disbursements. The following sections outline the tools and frameworks employed by KPMG and the DoS in assessing the details of each individual proposed disbursement to inform the risk analysis that is fundamental to disbursement decisions.

7.6.2 Transaction Request Template (Standardized Ingestion Checklist)

The BCV engages prospective counterparties to compile a complete standardized documentation package prior to submitting a payment request. KPMG uses the following criteria to review packages for completeness:

- ✓ **Transaction Background & Details**: Description of underlying operations, physical flow of goods, jurisdictions involved, and detailed vendor/contract sourcing rationale.
- ✓ **Corporate Governance & Ownership**: Articles of Incorporation, active physical addresses, and capitalization tables detailing the corporate structure down to individual UBOs / individual persons.
- ✓ **Contractual & Invoicing Terms**: Signed contracts, transfer pricing agreements, itemized transaction schedules, default/breach protocols, and explicit delivery timelines.
- ✓ **Invoicing & Pricing Details**: Itemized invoices, underlying supplier invoices, market price comparisons, and corporate bank routing credentials.
- ✓ **Post-Delivery Execution Verification**: Shipping bills of lading, receiving documents, and physical quality inspection sign-off forms.

Complete information at the outset enables streamlined assessment of associated risks, minimizes the additional outreach, and expedites approval.

7.6.3 Transaction Due Diligence

The transaction due diligence review process serves as a key control designed to establish a comprehensive understanding of each request, including the requesting entity, relevant counterparties, business activities, ownership considerations, potential integrity risks, and the purpose of the proposed transaction. As part of this process, KPMG performs risk-based due diligence to assess whether the payment is consistent with program objectives, applicable control requirements, and the intended use of funds.

Prior to KPMG's engagement as technical advisor to undertake transaction due diligence in April 2026, Citibank reviewed each proposed vendor payment submitted by the BCV and facilitated by Citibank through Citibank's applicable sanctions, AML, CFT, and Anti-Bribery and Corruption programs, which are designed to identify potentially high-risk parties, unusual payment activity, and other financial crime indicators. After KPMG was engaged as a technical advisor, KPMG reviewed past payments facilitated by Citibank, maintaining visibility into previously approved disbursements. Open communication between KPMG and Citibank has continued, supporting continuity of review and access to information concerning payments processed before KPMG's involvement.

Building on recognized AML review methodologies, among other risk assessment best practices, KPMG applies a risk-tiered assessment approach based on factors such as transaction value, industry sector, geographic exposure, counterparty profile, and supporting documentation. Reviews may include sanctions screening, reputational and regulatory assessments, beneficial ownership analysis, and other targeted due diligence procedures designed to identify potential compliance, integrity, or diversion risks. The level of monitoring and control activities applied to each payment may vary based on the assessed level of risk, with additional due diligence activities potentially ranging from outreach directly to the transaction counterparties, in-person diligence and site visits, coordination with OFAC to confirm license compliance, or performing due diligence on additional parties related to the transacting entity. The results are provided to the DoS to support approval, rejection, escalation, or implementation of additional risk mitigation measures.

The figure below summarizes the transaction due diligence procedures that may be applied during the review process.

DUE DILIGENCE TOPIC	DUE DILIGENCE PROCEDURES
Transaction and Documentation Review	• Review payment requests, invoices, contracts, purchase orders, statements of work, and other supporting records. • Validate the transaction purpose, payment amount, commercial terms, and proposed use of funds. • Assess consistency among counterparties, payment instructions, supporting documentation, and requested deliverables. • Review applicable licenses, authorizations, and other regulatory documentation.
Counterparty and Ownership Due Diligence	• Verify the identity, legal existence, business activities, and operational legitimacy of relevant entities. • Review ownership and control structures, including UBOs, where applicable. • Assess originators, intermediaries, recipients, beneficiaries, and other parties involved in the transaction. • Identify related-party relationships and potential conflicts of interest.
Sanctions and Regulatory Compliance	• Screen relevant entities, individuals, beneficial owners, and other transaction parties for sanctions exposure. • Evaluate potential ownership or control by sanctioned persons. • Assess the transaction against applicable OFAC licenses and authorizations. • Assess risk of inadvertently providing support or resources to foreign terrorist organizations or their members. • Review geographic and jurisdictional exposure and other indicators of potential sanctions evasion or circumvention.
Open-Source Intelligence and Integrity Review	• Conduct adverse media, reputational, regulatory, litigation, and enforcement research. • Review allegations or findings involving fraud, corruption, financial crime, or other misconduct. • Assess whether publicly available information supports an entity's stated business activities and operational footprint. • Identify inconsistencies, integrity concerns, or other risk indicators requiring additional diligence.
Enhanced Due Diligence (EDD) and Verification	• Request supplemental information or documentation to resolve identified gaps. • Conduct direct outreach to transaction counterparties and other relevant parties. • Perform interviews, in-person diligence, or site visits, where appropriate. • Verify facilities, operations, project activity, or the delivery of goods and services. • Coordinate with the DoS, OFAC, and other relevant stakeholders, as needed.
Post-Payment Monitoring	• Obtain progress reports, status updates, and supporting evidence. • Review photographic or other digital evidence of project activity. • Assess progress against established milestones and expected deliverables. • Conduct follow-up outreach or site visits, where appropriate. • Escalate material discrepancies, delays, or unresolved information gaps.

Figure 21: Risk-Based Transaction Due Diligence Framework

Note: The procedures shown represent the suite of risk-based diligence and verification measures available under KPMG's transaction due diligence framework. The nature and extent of procedures performed vary based on the purpose, value, complexity, industry, geographic exposure, counterparty profile, supporting documentation, and identified risks associated with each proposed transaction. Not all procedures need to be performed for every payment request.

The results demonstrate how the payment due diligence framework provides transparency into the use of Venezuela Custody Account funds, strengthens transaction-level oversight, and supports risk-informed decision-making by the DoS throughout the payment approval process.

8. Stage 4: Controlled Disbursement



A key objective of the financial oversight program is to support the transparent and controlled disbursement of natural resource revenues into the Venezuelan economy for the benefit of the Venezuelan people. The DoS has executed disbursements from the Venezuela Custody Account, in accordance with requests from the interim Government of Venezuela and consistent with approved expenditure parameters.[38] After authorization for FX Interventions and Vendor Payments, funds enter the final stage of the lifecycle. This stage tracks the movement of authorized funds through each mechanism, providing clear visibility into the specific institutions, entities, and sectors receiving funds.

The analysis begins with a high-level review of how funds move from the Venezuela Custody Account through a controlled disbursement process. Following review and approval by the DoS and the U.S. Treasury, funds are distributed directly from the Venezuela Custody Account to approved vendors and service providers.

Funds transferred to a BCV operational account are primarily used to support FX interventions through participating commercial banks. The account is also used to facilitate approved operational and administrative expenses necessary to support program execution, including banking services, payment-messaging services, and other approved operational disbursements.

The sections that follow examine these activities from initial disbursement through downstream receipt.

8.1 Outflow from the BCV

Between January 15, 2026, and September 30, 2026, $12.11 billion was disbursed through the channels described above. The figure below illustrates the movement of funds from natural resource revenue deposited through custody, allocation, and disbursement activities. The analysis traces how deposits entered the Venezuela Custody Account, the mechanisms through which funds were disbursed, and the sectors represented within the available downstream transaction data. The channels in the figure below include the three mechanisms that encompass FX Interventions: legacy auctions, electronic interventions, banknote interventions, as well as vendor payments, consistent with E.O. 14373.

Confidentiality Flag: This section includes depositor-specific information and insights that may be subject to confidentiality and NDA requirements.

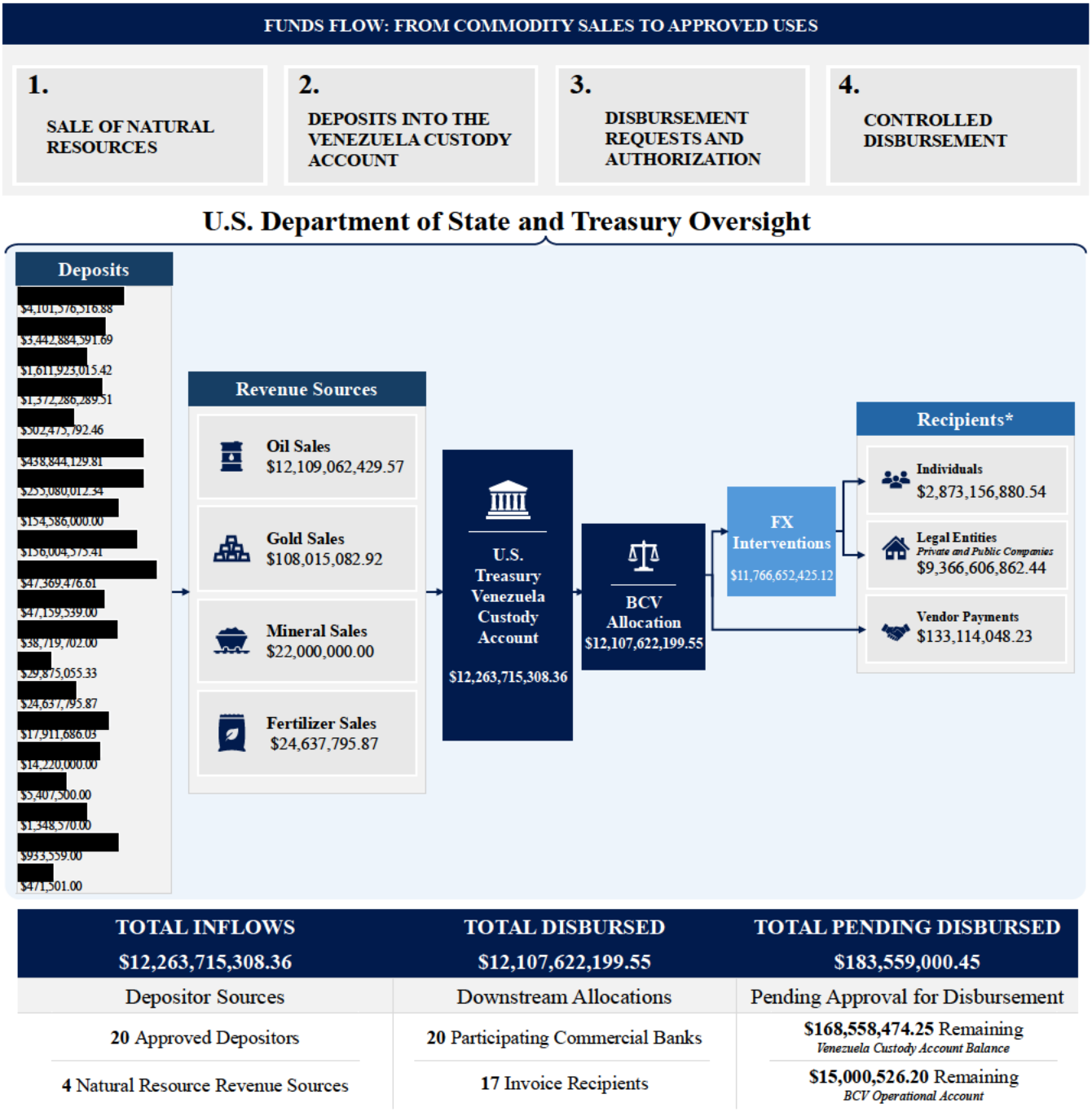


Figure 22: Venezuela Natural Resource Deposits to Final Recipient[39]

All natural resource deposits into and transfers from the subaccounts of the Venezuela Custody Account are fully overseen by the DoS and U.S. Treasury. Transfers from the Custody Account to BCV operational accounts may subsequently be combined with funding from additional sources, such as IMF-related deposits. While the use of these supplementary funds is also subject to oversight by the DoS and U.S. Treasury and monitored by KPMG, they are not currently distinguishable within the recipient-level

disbursement data provided by the BCV. Recipient data is compiled directly from account activity and reported using RIF Tax IDs to promote traceability and transparency. As a result, total transfers from the Venezuela Custody Account should not be expected to equal recipient-level disbursement data.

Additionally, in the interest of maximum transparency, this report provides account, monthly, entity, and transaction-level details as of a point-in-time on September 30, 2026. Figures in this report displaying deposit, allocation, authorization, transfer, and disbursement amounts may vary due to the timing of operational processing, settlement, and reporting across the various accounts involved in the process. Despite these timing-related variances, all figures presented in this report reconcile with the underlying transactions and account balances.

KEY CLARIFICATIONS	
VENEZUELA CUSTODY ACCOUNT BALANCE	The active Venezuela Custody Account Balance excludes the $50,000.00 interim Qatar Account Balance from January 2026.
	The Venezuela Custody Account Balance does not equal New Deposits (Total Inflows less Total Disbursed) because it incorporates $12,515,365.44 in earned Reinvestment Interest (Venezuela Custody Account Balance = Inflows – Disbursed + Reinvestment Interest)
BCV OPERATIONAL ACCOUNT BALANCE	As of September 30, 2026, an undisbursed balance of $15.0 million ($15,000,526.20) remained in a BCV operational account. This balance is exclusive of $60,741.94 in returned payments awaiting authorized disbursement, which are accounted for in the vendor payments table below. The balance originated from a March 20, 2026 funding transfer from the Venezuela Custody Account totaling $646.74 million. Following the execution of legacy foreign exchange auctions ($583.18 million) and approved vendor payments ($48.56 million), $15.0 million remained in the account for a payment that was authorized but not yet disbursed as of September 30, 2026.
	Under established program controls, the balance in the account is restricted and cannot be debited, transferred or mobilized without prior written approval from the U.S. Department of State and U.S. Treasury.
RECIPIENTS*	The BCV receives funding from multiple sources, including $346 million that Venezuela withdrew from its reserve tranche at the IMF. Therefore, the BCV operational account contains both Venezuela Custody Account funding and IMF funding. Throughout this report, the Venezuela Custody Account deposits, disbursements, and overall account activity reflect deposits generated only from authorized natural resource sales and deposited into the Venezuela Custody Account. The BCV Allocation total reflects only those disbursement requests from the Venezuela Custody Account, while Recipient reporting reflects intervention activity executed through the participating commercial banks from the BCV operational account (inclusive of both Venezuela Custody Account and IMF funds) and vendor payments.
	Vendor payments ($133,114,048.23), which were paid via a BCV operational account and disbursed directly from the Venezuela Custody Account, thereafter, are disbursed to institutional vendors and tracked separately from commercial bank RIF recipient categories.

Figure 23: Deposits to Final Recipient Key Clarifications

The disbursement data presented in Section 8.2 reflect the initial release and allocation of funds, while Section 8.3 examines downstream recipient information and sector-level activity to provide visibility into how funds ultimately flowed through the Venezuelan economy.

8.2 Master Combined Outflow Ledger

The Master Outflow Ledger provides a consolidated record of funds disbursed between January 15, 2026, through September 30, 2026, categorized by disbursement mechanism. During this period, the program evolved from the Legacy Auction Mechanism to the Electronic FX Intervention Mechanism used between March and September 2026, with Banknote FX Interventions introduced as an additional channel in July 2026. The figure below summarizes monthly disbursement activity across each of these mechanisms and illustrates the evolution of the program's approach to distributing authorized funds.

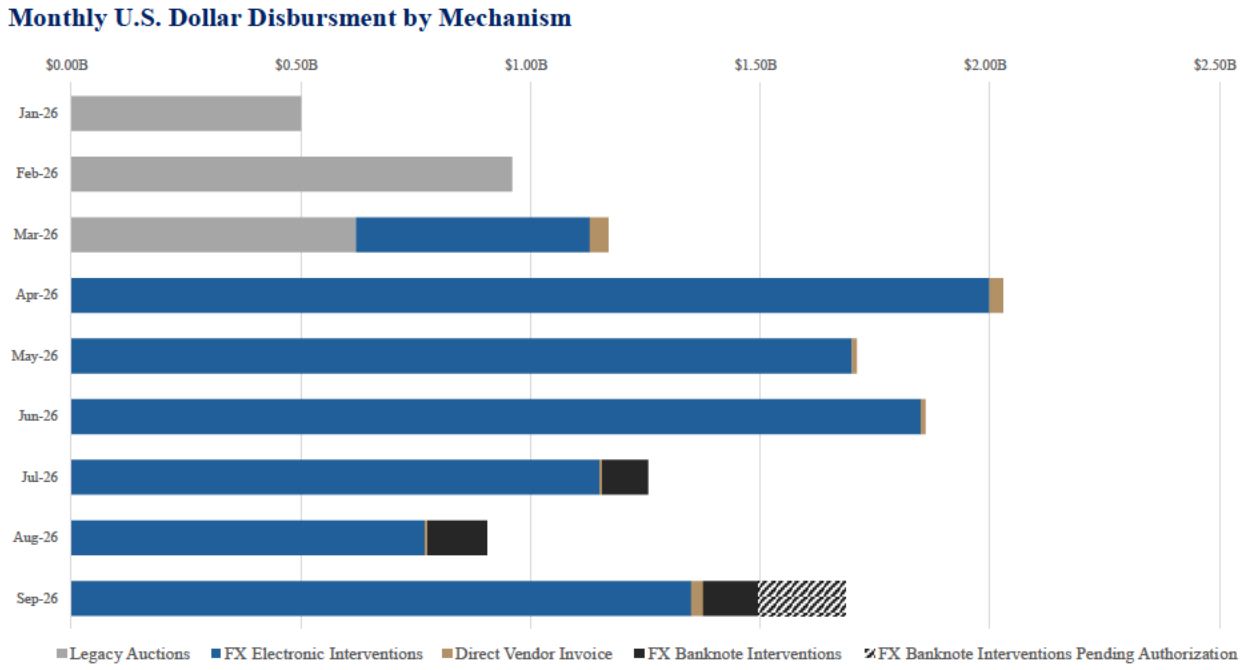


Figure 24: Monthly Disbursements by Intervention Mechanism[40]

The ledger presented below summarizes disbursements associated with each mechanism and identifies the participating financial institutions, vendors, and other registered recipients involved in those activities. In addition to direct allocations made to participating commercial banks, certain foreign exchange intervention funds were disbursed via correspondent banking arrangements supporting participating financial institutions. Where applicable, related allocations are presented separately within the ledger to provide additional transparency into the channels through which foreign exchange intervention funding was disbursed. Downstream transaction data shows that the channel was used to distribute USD to both individual and corporate recipients across multiple participating financial institutions and economic sectors.

In addition to foreign exchange intervention activity, a BCV operational account was utilized to facilitate certain approved operational and administrative payments. These payments included banking services, international payment-messaging services, membership obligations, and other operational requirements. As a result, not all transactions reflected within a BCV operational account correspond directly to foreign exchange intervention activity.

Together, these records provide visibility into how authorized funds moved from custody through the BCV-administered allocation processes and into operational channels.

Confidentiality Flag: This section includes outflow and beneficiary-specific information and insights that may be subject to confidentiality and NDA requirements.

ALL TOTALS BY DISBURSEMENT TYPE	AMOUNT
Mechanism A: Legacy Auctions	$2,087,747,625.12
Mechanism B: Electronic FX Interventions	$9,322,000,000.00
Banknote FX Interventions	$549,760,000.00
Vendor Payments	$133,114,048.23
Disbursement Total	**$12,092,621,673.35**
Remaining in BCV Operational Account	**$15,000,526.20***

TOTAL	**$12,107,622,199.55**

**Under established program controls, the balance in the account is restricted and cannot be debited, transferred or mobilized without prior written approval from the U.S. Department of State and U.S. Treasury.*

MECHANISM A – LEGACY FOREIGN EXCHANGE AUCTIONS (IN USD MILLIONS)				
Bank	**Jan**	**Feb**	**Mar**	**Bank Total**
Banco de Venezuela, S.A. Banco Universal	-	300.6	130.0	430.6
Banesco Banco Universal, C.A.	125.0	180.0	94.5	399.5
Mercantil Banco, C.A. Banco Universal	125.0	130.0	94.5	349.5
Banco Provincial, S.A. Banco Universal (BBVA)	125.0	130.0	94.5	349.5
Banco Nacional de Crédito, C.A. Banco Universal	125.0	130.0	92.6	347.6
Bancamiga, Banco Universal, C.A.	-	50.0	50.0	100.0
Banco del Tesoro, C.A. Banco Universal	-	13.0	20.0	33.0
Banco Digital de los Trabajadores, Banco Universal C.A. (BDT)	-	27.0	-	27.0
Banco del Caribe, C.A. Banco Universal	-	-	8.0	8.0
BFC Banco Fondo Común, C.A. Banco Universal	-	-	8.0	8.0
Banco Exterior, C.A. Banco Universal	-	-	7.0	7.0
Banco Plaza, C.A. Banco Universal	-	-	7.0	7.0
Banco Activo, C.A. Banco Universal	-	-	5.0	5.0
100% Banco, Banco Microfinanciero, C.A.	-	-	4.0	4.0
Bancrecer, S.A. Banco Microfinanciero	-	-	3.0	3.0
Del Sur, Banco Universal, C.A.	-	-	3.0	3.0
Banplus Banco Universal, C.A.	-	2.0	-	2.0
Banco Caroní, C.A. Banco Universal	-	-	2.0	2.0
Banco Sofitasa, Banco Universal, C.A.	-	2.0	-	2.0
Total	**500.0**	**964.6**	**623.1**	**2087.7**
TOTAL				**$2,087,747,625.12**

MECHANISM B – ELECTRONIC FOREIGN EXCHANGE INTERVENTIONS (IN USD MILLIONS)								
Bank	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Bank Total**
Banco de Venezuela, S.A. Banco Universal	90.0	650.0	260.0	240.0	410.0	290.0	475.0	2,415.0
Banesco Banco Universal, C.A.	95.0	270.0	305.0	300.0	130.0	108.0	140.0	1,348.0
Mercantil Banco, C.A. Banco Universal	80.0	260.0	305.0	300.0	122.8	80.0	136.0	1,283.8
Banco Provincial, S.A. Banco Universal (BBVA)	80.0	260.0	305.0	300.0	115.0	72.0	132.0	1,264.0
Banco Nacional de Crédito, C.A. Banco Universal	80.0	260.0	305.0	300.0	113.0	71.0	131.0	1,260.0
Banco del Tesoro, C.A. Banco Universal	10.0	150.0	75.0	75.0	73.5	43.0	108.6	535.1
Bancamiga, Banco Universal, C.A.	47.0	50.0	70.0	40.0	60.6	15.7	30.1	313.4
Banco Digital de los Trabajadores, Banco Universal C.A. (BDT)	-	-	-	65.0	42.5	33.0	91.0	231.5
Banco Venezolano de Crédito, S.A. Banco Universal	-	1.5	6.5	20.0	12.4	12.5	21.7	74.6
Banco del Caribe, C.A. Banco Universal	3.0	10.0	6.5	20.0	8.9	8.3	14.9	71.6

BFC Banco Fondo Común, C.A. Banco Universal	3.0	10.0	6.5	20.0	7.7	5.5	12.1	64.8
Bancrecer, S.A. Banco Microfinanciero	3.0	10.0	6.5	20.0	7.5	6.1	8.6	61.7
Banco Exterior, C.A. Banco Universal	3.0	10.0	6.5	20.0	7.1	4.4	8.8	59.8
Banco Plaza, C.A. Banco Universal	3.0	10.0	6.5	20.0	7.0	3.0	8.8	58.3
Banco Activo, C.A. Banco Universal	3.0	10.0	6.5	20.0	6.4	3.9	6.1	55.9
100% Banco, Banco Microfinanciero, C.A.	3.0	10.0	6.5	20.0	6.6	3.1	4.1	53.3
Banplus Banco Universal, C.A.	2.0	6.0	6.0	20.0	6.7	3.2	8.9	52.8
Banco Caroní, C.A. Banco Universal	3.0	9.0	6.5	20.0	6.4	1.0	3.9	49.8
Del Sur, Banco Universal, C.A.	3.0	10.0	6.5	20.0	5.8	0.9	3.4	49.6
Banco Sofitasa, Banco Universal, C.A.	1.0	3.5	4.0	10.0	0.1	0.4	-	19.0
Total	**512.0**	**2,000.0**	**1,700.0**	**1,850.0**	**1,150.0**	**765.0**	**1,345.0**	**9,322.0**
TOTAL								**$9,322,000,000.00**

BANKNOTE FOREIGN EXCHANGE INTERVENTIONS (IN USD MILLIONS)				
Bank	**Jul**	**Aug**	**Sep**	**Bank Total**
Banesco Banco Universal, C.A.	26.9	43.6	28.9	99.4
Banco Provincial, S.A. Banco Universal (BBVA)	29.9	23.7	26.6	80.2
Mercantil Banco, C.A. Banco Universal	11.6	42.7	25.0	79.3
Banco Nacional de Crédito, C.A. Banco Universal	31.6	15.9	16.8	64.3
Banco de Venezuela, S.A. Banco Universal	-	9.1	24.6	33.7
Total	**100.0**	**135.0**	**121.9**	**356.9**
Total Banknotes Pending Distribution				**$192,855,200.00***
TOTAL				**$549,760,000.00**

**Out of $549,760,000.00 allocated for Banknote FX Interventions, $356,904,800.00 has been cleared and distributed. The balance of $192,855,200.00 remains pending authorization, subject to processing under the Banknote Control Process.*

VENDOR PAYMENTS				
Date	**Entity Name**	**Sector**	**Transaction Description**	**Amount**
2026-03-06	Banco Central de la Republica Argentina	Financial Institutions	Asociación Latinoamericana de Integración (ALADI) annual membership and trade-clearing system participation activities.	$31,718.87
2026-03-06	Banco Central de Reserva del Peru	Financial Institutions	ALADI annual membership and trade-clearing system participation activities.	$69,738.27
2026-03-06	Central Bank of Trinidad and Tobago	Financial Institutions	Annual contribution supporting participation in G-24 central banking activities.	$225,000.00
2026-03-06	Centro de Estudios Monetarios	Financial Institutions	Membership reinstatement and continued participation in regional central banking programs.	$421,587.00
2026-03-06	SWIFT*	Technology & Professional Services	Provision of SWIFT messaging services, secure connectivity, VPN maintenance, and security solutions.	$1,692.05
2026-03-06	Veridos*	Technology & Professional Services	Procurement of polycarbonate sheets used in biometric passport production.	$2,632,995.84
2026-03-23	Argus Media*	Business & Administrative Services	Market data and analytics subscription services supporting commodity pricing and trade activities.	$60,900.00

VENDOR PAYMENTS				
Date	**Entity Name**	**Sector**	**Transaction Description**	**Amount**
2026-03-23	Landsteiner Scientific	Healthcare & Pharmaceutical	Procurement of specialty pharmaceuticals and Chagas ELISA diagnostic kits for the Venezuelan Institute of Social Security (IVSS).	$26,140,931.90
2026-03-23	Landsteiner Scientific	Healthcare & Pharmaceutical	Procurement of serological Chagas test kits.	$176,000.00
2026-03-23	Northpoint Drilling Systems	Energy, Mining & Utilities	Drilling equipment and petroleum sector operational support.	$1,586,340.00
2026-03-23	Servicios Petroleros Del Sur	Energy, Mining & Utilities	Petro-operational services supporting energy sector activities.	$8,408,525.00
2026-04-07	Seijiro Yazawa Iwai Ind.	Energy, Mining & Utilities	Coal mining equipment and resource sector operational support.	$12,187,594.35
2026-04-10	KPMG LLP	Business & Administrative Services	Financial oversight and institutional financial support activities.	$18,175,707.00
2026-05-21	Singularity Tech Pharma, Corp. (SINTEC)	Healthcare & Pharmaceutical	Procurement of medicines and healthcare-related supplies.	$10,840,299.42
2026-06-01	Energy Solutions CA	Energy, Mining & Utilities	Fabrication and repair of critical turbine parts for Venezuela's Termozulia III power plant.	$4,968,412.72
2026-06-12	Pan American Health Organization (PAHO)	Healthcare & Pharmaceutical	Fulfill Venezuela's outstanding financial commitments for PAHO's Revolving Fund for Strategic Public Health Supplies and Revolving Fund for Access to Vaccines.	$8,722,605.52
2026-07-01	Moneycorp	Business & Administrative Services	Professional services supporting Banknote Distribution activities.	$1,200,000.00
2026-07-08	Numisma	Business & Administrative Services	Professional services supporting Banknote Distribution activities.	$948,500.00
2026-07-09	One Street Commercial Properties	Construction & Real Estate	Venezuelan embassy repairs and facility maintenance activities.	$1,200,000.00
2026-07-20	BCG Finance Systems	Technology & Professional Services	Licensing and technical support of the SafeWatch Screening Server (v5) AML/CFT screening platform.	$201,500.00
2026-07-24	Numisma	Business & Administrative Services	Professional services supporting Banknote Distribution activities.	$988,416.00
2026-07-31	Greenberg Traurig LLP	Business & Administrative Services	Legal and professional advisory services.	$2,000,000.00
2026-08-07	Glencore	Industrial / Manufacturing	Procurement of aluminum fluoride (AlF3) for industrial operations.	$960,000.00
2026-08-18	Energy Solutions CA	Energy, Mining & Utilities	Utility infrastructure restoration and electricity generation support activities.	$3,312,275.15
2026-08-20	Moneycorp	Business & Administrative Services	Professional services supporting Banknote Distribution activities.	$1,200,000.00
2026-08-25	BDO	Business & Administrative Services	Limited assurance and professional services rendered during May and June 2026.	$155,000.00
2026-09-02	Circle	Business & Administrative Services	Foreign exchange intervention test transaction.	$100.00

VENDOR PAYMENTS				
Date	**Entity Name**	**Sector**	**Transaction Description**	**Amount**
2026-09-03	Greenberg Traurig LLP	Business & Administrative Services	Legal and professional advisory services.	$3,000,000.00
2026-09-03	Misión Permanente de Venezuela en la ONU	Construction & Real Estate	Phase I renovation of the Venezuelan Mission headquarters in the U.S.	$166,435.20
2026-09-04	Argus Media	Business & Administrative Services	Market data and analytics subscription services supporting commodity pricing and trade activities.	$1,296,471.84
2026-09-09	Center for Latin American Monetary Studies (CEMLA)	Financial Institutions	Membership reinstatement and continued participation as an active Associate Member.	$843,174.00
2026-09-09	Veridos	Technology & Professional Services	Procurement of polycarbonate sheets used in biometric passport production.	$2,586,418.88
2026-09-14	Grupo de Acción Financiera del Caribe (GAFIC) / Caribbean Financial Action Task Force (CFATF)	Financial Institutions	Annual membership fee for Venezuela's participation in GAFIC/CFATF.	$105,000.00
2026-09-16	Numisma	Business & Administrative Services	Professional services supporting banknote distribution activities.	$830,000.00
2026-09-17	XO Aviation	Transportation & Logistics	Transportation and logistics services to support banknote program.	$123,319.95
2026-09-18	Topsoe, Inc.	Energy, Mining & Utilities	Industrial catalysts and engineering advisory services to maintain Pequiven's ammonia production facilities.	$5,171,864.30
2026-09-21	Allbe Enterprises	Healthcare & Pharmaceutical	Procurement of critical dialysis and hemophilia supplies and related healthcare support services.	$11,554,414.89
2026-09-25	INEO Energy & Systems	Energy, Mining & Utilities	National satellite segment rental services for ground-air communications, radar data, and the Aeronautical Message Handling System (AMHS).	$621,110.08
TOTAL				**$133,114,048.23**

Figure 25: January – September 2026 Disbursements to Registered Beneficiary / Recipient[41]

**The March 6 payments to Veridos and Swift, as well as the March 23 payment to Argus Media, were returned and remain in suspense in a BCV operational account. As the funds have not been credited back to the Venezuela Custody Account, the original payments remain reflected as a debit on the ledger. The initial Argus Media payment was returned to the BCV operational account and later reissued for a larger subscription purchase on September 4 from the Venezuela Custody Account, and the Veridos payment was reissued on September 9, resulting in two entries for each payment in the table above. Re-issue amounts can vary slightly due to intermediary bank wire fees. The dates presented in this table reflect disbursement dates and do not correspond to the dates on which goods were delivered or services rendered.*

As of September 30, 2026, a total of $12.11 billion had been disbursed through Legacy Auctions, Electronic FX Interventions, Banknote FX Interventions, and Vendor Payments. Together, these amounts reconcile to the total funds released from the Venezuela Custody Account between January and September 2026.

8.3 Downstream Recipients

This section details how program funds were distributed across key sectors of the Venezuelan economy. By analyzing recipient industries and mapping downstream corporate entities, the data shows how USD were used after leaving intermediary banks and the economic sectors represented within the reported recipient population.

Following the primary disbursement of funds from the Venezuela Custody Account into a BCV operational account, USD were distributed into the Venezuelan domestic banking system. To understand the relationship between primary, intermediary, and downstream recipient populations, it is important to distinguish between transfers made to participating commercial banks and the subsequent allocation of USD to individual and corporate customers.

The outflow ledger presented in Section 8.2 reflects transfers to participating commercial banks, vendors, and other registered recipients. The recipient analysis presented in this section reflects a separate stage of the distribution process and is based on downstream transaction data reported by participating commercial banks to the BCV and subsequently provided to the DoS and KPMG for review and analysis. The recipient statistics presented below reflect combined downstream recipient activity across both the Electronic FX Intervention and Banknote FX Intervention mechanisms. Accordingly, the bank-level disbursements discussed in Section 8.2 and the recipient-level information presented below represent different layers of the same USD distribution framework. These activities can be viewed through three related tiers:

1. **Primary Disbursements** (Custody to Operations): Funds are transferred from the Venezuela Custody Account to a BCV operational account for approved foreign exchange activities. These transactions represent the initial release of funds from custody and form the basis of the outflow reporting presented in Section 8.2.
2. **Intermediary Disbursements** (Operations to Commercial Banks): The BCV allocates USD from its operational account to the U.S. correspondent and custodial accounts supporting participating Venezuelan commercial banks. These allocations represent the intermediary stage between fund release and downstream customer activity. Most of the disbursements presented in Section 8.2 reflect transfers at this level.
3. **Downstream Recipient Activity** (Commercial Banks to End Recipients): Participating commercial banks subsequently distribute USD to individuals and corporate entities through regulated USD-denominated account activity and regulated foreign exchange mechanisms. These transactions are executed under customer identification, due diligence, and AML/KYC requirements maintained by participating financial institutions and applicable banking regulations. Recipient information analyzed in this section is derived from data reported by participating commercial banks to the BCV and subsequently provided to the DoS and KPMG for analysis and classification.

8.3.1 Recipient Analysis

All individual and corporate entities engaging in this process have been reported by the BCV and classified using the Venezuelan tax identification system and identification number for Register of Fiscal Information

(RIF). While the broader RIF framework establishes classifications for individuals, legal entities (private and public companies), and government bodies, no program funds were disbursed to government entities. This categorization enables precise tracking of all disbursed funds to verified commercial and individual recipients.

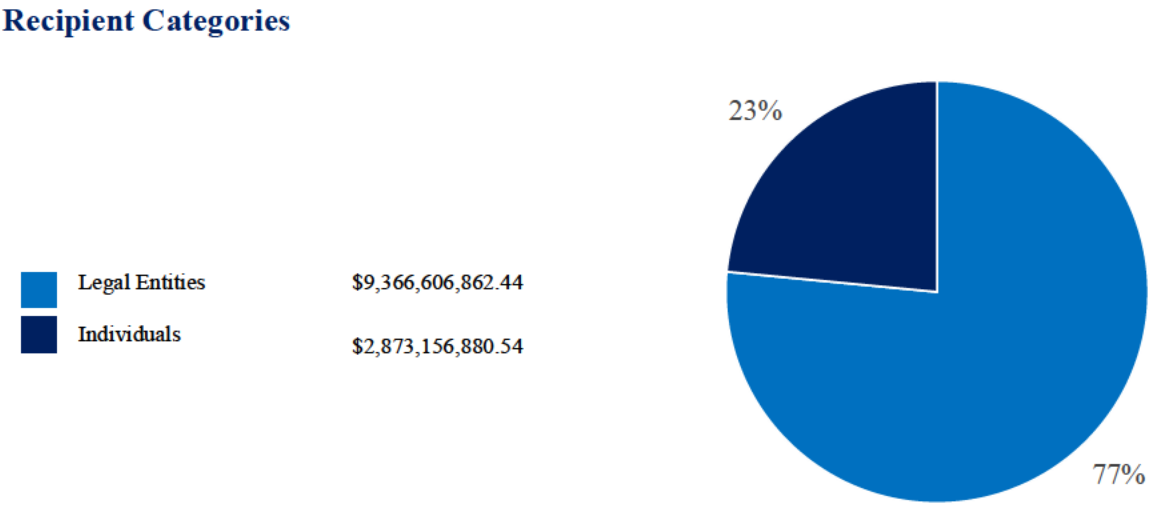


Figure 26: Recipient Entity Category Amounts in USD[42]

As shown in the figure above, Legal Entities represent the largest recipient category, receiving $9.37 billion, which accounts for 77% of total disbursements, while Individuals have received $2.87 billion (23%).

8.3.2 Sectoral Distribution

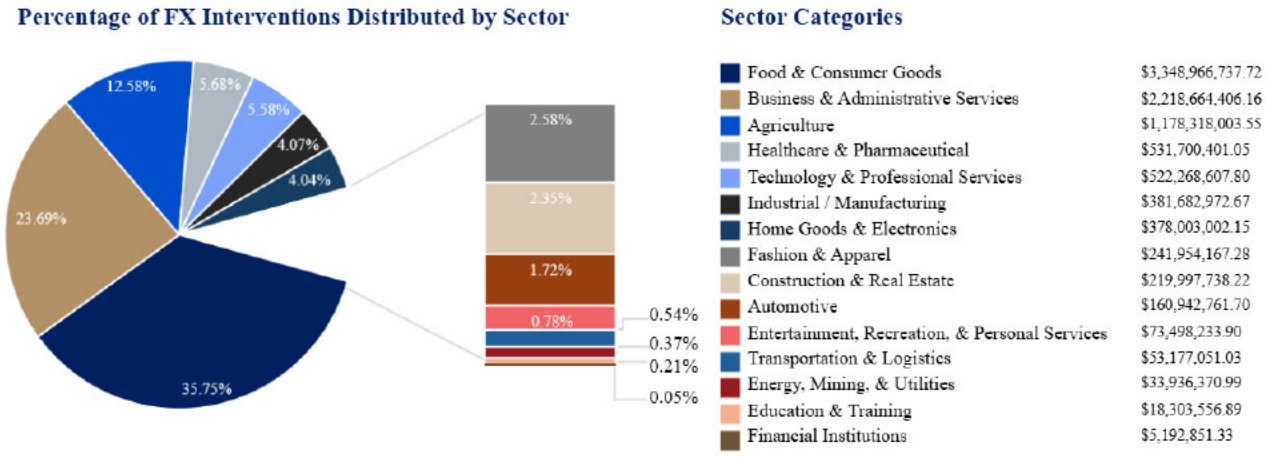


Figure 27: Percentage Distributed by Sector from Sample[43]

Note: The data reflects spending patterns for downstream recipients classified as legal entities, representing 77% of total reported outflows. Sector classifications were not available for other recipient categories and therefore were not included in the analysis.[44]

The sector data shows how USD disbursed through the FX intervention process circulated throughout the Venezuelan economy. The concentration of funding within Food & Consumer Goods, Business & Administrative Services, and Agriculture sectors demonstrates that a substantial portion of USD exchange reached sectors responsible for supplying and supporting basic consumer needs. Importantly, corporate entities operating within these import-based sectors maintain a heightened requirement for USD to fund critical, USD-denominated imports of raw materials, agricultural equipment, and wholesale consumer goods. Together, these three categories accounted for 72% of total sector-based disbursements, indicating a strong emphasis on activities associated with consumer goods, food availability, and broader commercial supply chains.[45] Healthcare & Pharmaceutical recipients also received a meaningful share of USD allocations. Because sector classifications were available only for downstream recipients identified as legal entities, the sector analysis presented below reflects $9.37 billion, or 76.5% of total reported outflows, and excludes recipient categories for which sector information was not available.

SECTOR RECIPIENTS	AMOUNT
Food & Consumer Goods	$3,348,966,737.72
Business & Administrative Services	$2,218,664,406.16
Agriculture	$1,178,318,003.55
Healthcare & Pharmaceutical	$531,700,401.05
Technology & Professional Services	$522,268,607.80
Industrial / Manufacturing	$381,682,972.67
Home Goods & Electronics	$378,003,002.15
Fashion & Apparel	$241,954,167.28
Construction & Real Estate	$219,997,738.22
Automotive	$160,942,761.70
Entertainment, Recreation & Personal Services	$73,498,233.90
Transportation & Logistics	$53,177,051.03
Energy, Mining & Utilities	$33,936,370.99
Education & Training	$18,303,556.89
Financial Institutions	$5,192,851.33

Total	**$9,366,606,862.44**

Figure 28: Recipients in Sectors from Sample[46]

By examining recipient sectors, the figures above help provide greater visibility in how funds flow beyond the initial disbursement stage and where liquidity was ultimately distributed. This disbursement pattern demonstrates that program resources are not only reaching individuals but also, critically, areas that directly affect the Venezuelan population by providing access to essential goods, services, and critical infrastructure.

9. Ongoing Monitoring Plan & Strategy

9.1 Ongoing Monitoring Plan

This report supports a broader oversight and monitoring effort meant to bring transparency and accountability to Venezuela's natural resource sector. The work completed during the period covered by this report involved analysis of vast amounts of data provided by the BCV and other stakeholders across a range of financial, operational, and regulatory data sources.

The information presented in this report should be viewed as a point-in-time assessment based on the data and documentation available as of September 30, 2026.

Beyond the reporting activities reflected herein, the oversight team has been actively implementing enhanced monitoring capabilities, data governance processes, and technology solutions designed to enhance financial oversight and further improve transparency. These efforts include developing centralized data repositories, automating reconciliation capabilities, standardizing reporting frameworks, and implementing advanced analytic tools that will enable more efficient tracking, monitoring, and reporting of fund activity across the program lifecycle. Continued monitoring activities may incorporate newly available financial records, transaction-level data, risk assessments, compliance reviews, and monitoring results as data integration efforts mature.

This report therefore serves not only as a record of current observations, but as the foundation of a sustainable oversight framework that will continue to support transparency, accountability, and informed decision-making.

[1]Exec. Order No. 14373, Safeguarding Venezuelan Oil Revenue for the Good of the American and Venezuelan People, 91 Fed. Reg. 2045 (Jan. 9, 2026).
[2] U.S. Department of the Treasury, Venezuela Custody Account records (Qatar National Bank and Foreign Government Deposit Fund), January 2026–September 2026.
[3] Exec. Order No. 14373, Safeguarding Venezuelan Oil Revenue for the Good of the American and Venezuelan People, 91 Fed. Reg. 2045 (Jan. 9, 2026).
[4] The activities discussed in this report were conducted and supported by a number of different entities including KPMG, the DoS's technical advisor; the BCV; and BDO, a service provider to the BCV, among others. To enhance readability, the text does not always specify which entity performed or was involved with specific activities.
[5] U.S. Department of the Treasury, Venezuela Custody Account records (Interim Qatar Custodial Account and FGDF); Banco Central de Venezuela, Operational Account records; and Banco Central de Venezuela, Auction and Intervention Transaction files, January–September 2026.
[6] KPMG analysis of program governance documents.
[7] U.S. Department of the Treasury, Venezuela Custody Account Records (Interim Qatar Custodial Account), and Banco Central de Venezuela, Auction Adjudication Records (Base de Datos Subasta), January 2026.
[8] U.S. Department of the Treasury, Venezuela Custody Account Reporting ledger; Banco Central de Venezuela, Interim Qatar Custodial Account Remittance and Transfer records (January 2026); and VCA FedInvest Reporting records, January–September 2026.
[9] U.S. Department of the Treasury, Venezuela Custody Account Reporting ledger, January–September 2026.
[10] Exec. Order No. 13850, Blocking Property of Additional Persons Contributing to the Situation in Venezuela, 83 Fed. Reg. 55243 (Nov. 2, 2018); Exec. Order No. 13884, Blocking Property of the Government of Venezuela, 84 Fed. Reg. 38843 (Aug. 7, 2019).
[11] U.S. Department of the Treasury, Venezuela Custody Account Reporting ledger, January–September 2026; Petróleos de Venezuela, S.A. (PDVSA), Treasury Office Payments records, September 2026.
[12] U.S. Department of the Treasury, Venezuela Custody Account Reporting ledger, January–September 2026.
[13] Program governance and deposit intake protocols.
[14] U.S. Department of the Treasury, Venezuela Custody Account Reporting ledger, January–September 2026.
[15] U.S. Department of the Treasury, Venezuela Custody Account Reporting ledger, January–September 2026.
[16] KPMG analysis of program disbursement workflows.
[17] KPMG analysis of program disbursement workflows.
[18] Banco Central de Venezuela, *Distribution of Monetary Policy*, 2026.
[19] Banco Central de Venezuela, *Exchange Intervention Diagrams*, August 2024.
[20] Banco Central de Venezuela, Auction and Intervention Transaction Files, January–September 2026.
[21] Banco Central de Venezuela, Foreign Exchange Intervention Allocation Proposals, April–September 2026.
[22] Banco Central de Venezuela, TRANSFERENCIAS A LA BANCA AL 040926 (Excel workbook), September 4, 2026.
[23] U.S. Department of the Treasury, Venezuela Custody Account Reporting ledger, January–September 2026.
[24] U.S. Department of the Treasury, Venezuela Custody Account Reporting ledger, January–September 2026.
[25] SUDEBAN, Resolución N° 010.25: *Normas Relativas a la Administración y Supervisión de los Riesgos de Legitimación de Capitales, Financiamiento al Terrorismo y Financiamiento de la Proliferacion de Armas de Destruccion Masiva (LC/FT/FPADM) Aplicables a las Instituciones del Sector Bancario*, March 20, 2025
[26] Banco Central de Venezuela and Moneycorp Bank Limited, *Wholesale Banknote Agreement*, effective June 30, 2026.
[27] Banco Central de Venezuela and Numisma Bank, *Banknote Master Services Agreement*, effective July 1, 2026.
[28] Banco Central de Venezuela, Receipt of Banknotes Numisma, July 30, 2026.
[29] KPMG analysis of banknote delivery data. See Figure 16, "Banknote Distributions."
[30] KPMG analysis of banknote delivery data. See Figure 16, "Banknote Distributions."
[31] KPMG analysis of banknote delivery data. See Figure 16, "Banknote Distributions."
[32] Banco Central de Venezuela, Intervention Transaction files, January–September 2026.
[33] KPMG analysis of Banknote Distribution process.
[34] KPMG is developing Process Narratives and Assessment Programs Guides (APGs) for each payment type: Banknotes, Electronic Transfers, Invoices.
[35] DoS Approved process based on industry-standard practices.
[36] StataCorp, *Stata Statistical Software: Release 18* (College Station, TX: StataCorp LLC, 2023).
[37] Convenio Cambiario N° 1, Gaceta Oficial N° 6.405 Extraordinario, September 7, 2018.
[38] Exec. Order No. 14373, Safeguarding Venezuelan Oil Revenue for the Good of the American and Venezuelan People, 91 Fed. Reg. 2045 (Jan. 9, 2026).
[39] U.S. Department of the Treasury, Venezuela Custody Account records (Interim Qatar Custodial Account and FGDF); Banco Central de Venezuela, Operational Account records; and Banco Central de Venezuela, Auction and Intervention Transaction files, January–September 2026.

[40] U.S. Department of the Treasury, Venezuela Custody Account records (Qatar Custody Account and FGDF); Banco Central de Venezuela, Operational Account records, January–September 2026.
[41] U.S. Department of the Treasury, Venezuela Custody Account records (QNB and FGDF); Banco Central de Venezuela, Operational Account records, January–September 2026.
[42] Banco Central de Venezuela, Auction and Intervention Transaction files, January–September 2026.
[43] Banco Central de Venezuela (BCV), Auction and Intervention Transaction Files, January–September 2026.
[44] Banco Central de Venezuela (BCV), Auction and Intervention Transaction Files, January–September 2026.
[45] Banco Central de Venezuela (BCV), Auction and Intervention Transaction Files, January–September 2026.
[46] Banco Central de Venezuela (BCV), Auction and Intervention Transaction Files, January–September 2026.